

Rohm (6963)

Forecasting FY2028 operating profit of ¥150 bn; if integration with Toshiba's semiconductor business proceeds, operating profit could exceed ¥200-250 bn

2027 Extel

All-Japan Equity Research Survey

VOTE

Voting Open Sep 29th - Oct 16th

Please vote for J.P. Morgan (5 stars)



We maintain our December 2027 price target of ¥8,000 and reiterate our Overweight rating. We expect earnings to continue expanding from FY2027, driven by 1) a bottoming out and recovery in demand for analog and discrete semiconductors in industrial equipment and automotive applications, and 2) higher utilization rates on stronger demand and tighter supply for power semiconductors, especially for AI servers, in addition to 3) price adjustments and 4) a shift to copper wire. Rohm's share price has transitioned out of a phase of factoring in the value of its Toshiba shareholdings since end-2025, and has been influenced by factors other than the company's fundamentals, such as the acquisition announcement by Denso in March (which was later withdrawn), and the rally in Kioxia shares in May-June, which increased the value of Rohm's Toshiba shareholdings. The value of its Toshiba shareholdings remains an important factor, but we believe that in addition to earnings improvement at Rohm, possible integration with Toshiba Electronic Device Solutions' semiconductor business could enable a significant increase in earnings levels. Alongside the rapid improvement in semiconductor market conditions, the price to acquire Toshiba Electronic Device Solutions' semiconductor business could rise to a range of ¥800 billion to ¥1 trillion, but we believe the company should make effective use of its Toshiba shareholdings, as their value exceeds that amount.

- **Earnings forecasts:** We revise our forecasts in light of 1Q FY2026 results and current market trends for analog and discrete semiconductors (we change our forex assumption from ¥155/\$ to ¥160/\$). We revise our operating profit forecasts from ¥62.8 billion to ¥63.9 billion for FY2026 (guidance: ¥30.0 billion, Bloomberg consensus estimate: ¥38.1 billion), from ¥93.8 billion to ¥115.7 billion for FY2027 (Bloomberg consensus: ¥60.1 billion), and from ¥120.1 billion to ¥152.0 billion for FY2028 (Bloomberg consensus: ¥83.5 billion). Our previous forecasts had already factored in a recovery for industrial equipment applications, a bottoming out for automotive applications, and tighter supply-demand for Si-MOSFETs, especially for AI servers, but we had taken a cautious view on profitability from FY2027 onward. We now hike our earnings forecast assumptions for FY2027 and beyond (see page 3 onward for details).

Overweight

6963.T, 6963.JP

Price (28 Sep 26): ¥4,833

Price Target (Dec-27): ¥8,000

Japan Equity Research

Technology - Electronic Components

Akinori Kanemoto ^{AC}

(81-3) 6736 8628

akinori.kanemoto@jpmorgan.com

Ikki Shibata

(81-3) 6736 8641

ikki.shibata@jpmorgan.com

Technology - Consumer Electronics/Industrial

Junya Ayada ^{AC}

(81-3) 6736 8631

junya.ayada@jpmorgan.com

JPMorgan Securities Japan Co., Ltd.

Key Changes (FYE Mar)

	Prev	Cur	Δ
Adj. EPS - 28E (¥)	164.81	190.98	15.9%

Style Exposure

Quant Factors	Current %Rank	Hist %Rank (1=Top)			
		6M	1Y	3Y	5Y
Value	87	83	83	52	69
Growth	92	83	52	41	87
Momentum	23	29	25	43	49
Quality	100	98	98	65	78
Low Vol	67	67	63	58	34

Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

See page 15 for analyst certification and important disclosures, including non-US analyst disclosures.

Price Performance



	YTD	1m	3m	12m
Abs	117.7%	0.1%	-9.5%	116.0%
Rel	97.1%	0.9%	-13.3%	84.7%

Company Data

Shares O/S (mn)	386
52-week range (¥)	6,099-1,950
Market cap (\$ bn)	11.9
Exchange rate	157.28
Free float (%)	79.6%
3M ADV (mn)	4.24
3M ADV (\$ mn)	132.3
Volatility (90 Day)	75
Index	TOPIX
BBG ANR (Buy Hold Sell)	8 4 1

Key Metrics (FYE Mar)

¥ in millions	2026/3A	2027/3E	2028/3E	2029/3E
Financial Estimates				
Revenue	481,148.0	561,994.3	616,127.9	673,338.3
EBITDA	67,888	104,026	162,787	205,695
EBIT	10,864.0	63,874.7	115,738.9	152,046.7
Net income	(158,424)	51,039	86,437	111,853
Reported EPS	-350.0	112.8	191.0	247.1
BBG EPS	32.70	115.12	167.15	-
Cashflow from operations	(142,882)	65,153	124,830	147,355
FCFF	(232,727)	(2,818)	49,670	72,195
Margins and Growth				
Revenue Growth Y/Y (%)	7.3%	16.8%	9.6%	9.3%
EBIT margin	2.3%	11.4%	18.8%	22.6%
EBIT Growth	-127.1%	487.9%	81.2%	31.4%
EBITDA margin	14.1%	18.5%	26.4%	30.5%
EBITDA Growth Y/Y (%)	56.6%	53.2%	56.5%	26.4%
Net margin	-32.9%	9.1%	14.0%	16.6%
Fully Diluted EPS growth	216.4%	-132.2%	69.4%	29.4%
Ratios				
Effective Tax Rate	-7.3%	28.5%	30.0%	30.0%
Interest cover	NM	NM	NM	NM
Net debt/Equity	NM	NM	NM	NM
Net debt/EBITDA	NM	NM	NM	NM
ROE	-19.2%	6.6%	10.5%	12.6%
Valuation				
FCFF yield	-10.6%	-0.1%	2.3%	3.3%
Dividend yield	1.0%	1.0%	1.2%	1.7%
EV/Revenue	1.6	3.5	3.2	2.8
EV/EBITDA	11.2	19.2	12.1	9.3
P/E	NM	42.9	25.3	19.6

Summary Investment Thesis and Valuation

Investment Thesis

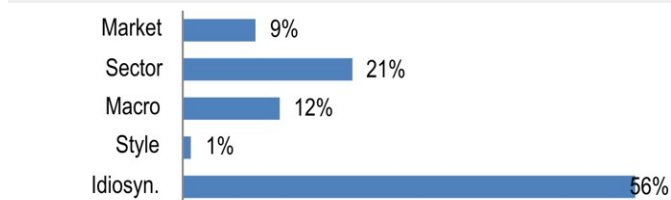
There are growing signs of a supply/demand squeeze for analog and discrete semiconductors (particularly Si-MOSFETs), mainly on the back of rising analog and discrete semiconductor demand for AI server applications and market recovery for industrial machinery applications, and we think Rohm will likely benefit from these improving market conditions, too. We are also watching for an increase in the value of Rohm's Toshiba shareholdings, driven by a rise in Kioxia's share price, and the growth potential inherent in the Si-MOSFET business through integration with Toshiba's semiconductor business.

Valuation

Our December 2027 price target is ¥8,000, now calculated by adding the ¥4,000 per share after-tax value of Rohm's Toshiba shareholdings to the ¥4,000 per share figure derived from our ROIC model ($EV/IC = ROIC/WACC$) using our FY2028 estimates and assuming zero growth ($R_f = 2.57\%$, $R_p = 5.15\%$, $\beta = 1.0$, $WACC = 7.15\%$).

Our prior December 2027 price target was also ¥8,000, calculated by adding the ¥4,600 per share after-tax value of Rohm's Toshiba shareholdings to the ¥3,400 per share figure derived from our ROIC model ($EV/IC = ROIC/WACC$) using our FY2028 estimates and assuming zero growth ($R_f = 2.57\%$, $R_p = 5.15\%$, $\beta = 1.0$, $WACC = 6.8\%$).

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI Japan	0.28	0.31
Sect: Technology	0.49	0.49
Ind: Semicond & S Equip	0.23	0.31
Macro:		
JPM JPMCCI Non Energy Excess	0.18	0.23
JP GDP Real Chained NSA YoY	0.30	0.22
MSCI ACWI ex Japan	0.16	0.22
Quant Styles:		
Value	-0.43	-0.38
LowVol	-0.35	-0.36
DivYld	-0.34	-0.32

- **Earnings forecast assumptions:** At the time of 1Q results, the company had expected earnings to be flat QoQ due to the impact of the Kumamoto earthquake, but we believe this outlook is overly cautious. We expect sales momentum to continue improving for industrial equipment and automotive applications in 2H, with further sales growth in AI server-related products. We expect game-related sales to decline HoH in 2H, but still forecast profit to increase HoH. From next fiscal year onward, we expect continued sales growth, mainly in AI server-related and industrial equipment-related products. We believe the company still has room to increase utilization rates. For LSIs, we expect growth in PMICs, hot-swap controllers, and driver MOSFETs (DrMOS) for HDD applications. In particular, we are monitoring trends in DrMOS. On the discrete side, we look for growth in Si-MOSFETs around the 100V category, and in 1,200V SiC-MOSFETs. However, Rohm may need to accelerate product development and market launch for 3,000V and 1,700V SiC-MOSFETs and 650V, 100-150V GaN HEMTs, where demand is likely to expand.
- We assume utilization rates of 60% in 1Q and 70% in 2Q, compared to 55% in 4Q of the prior fiscal year. We estimate a 10% improvement in utilization rates would increase quarterly operating profit by about ¥10 billion. We believe utilization rates only began to rise in June, and expect these benefits to be distributed across 2Q and 3Q. We observe that in discrete semiconductors, the front-end processes for Si-MOSFETs with 100V voltage ratings are already strained at Tier 1 manufacturers, and it is becoming increasingly difficult to secure back-end processes at OSATs. Rohm still has spare production capacity for Si-MOSFETs in the front-end processes, and the company plans to accelerate capacity expansion. Furthermore, the company has a high in-house production ratio for back-end processes, which could also provide an advantage over competitors.
- The SiC business continued to post significant losses in 1Q. Although Rohm recorded substantial impairment losses at the end of 4Q FY2025, it sold inventory prior to these impairment losses in 1Q, so the benefits of fixed cost reductions have yet to materialize. In addition, the company had to use low-quality wafers, which stalled the reduction in losses. We expect earnings to improve from 2Q onward as these factors are resolved.
- For FY2026, we assume around ¥4.0 billion in price pass-through from higher gold prices, within a range of ¥4.0-5.0 billion. For FY2027, we assume around 70% of customers will switch to copper wire, resulting in cost reductions of around ¥10.0-15.0 billion. Rohm plans to raise prices by around ¥5.0 billion in 2H, in line with competitors, and we believe further price increases are possible. During the pandemic years of 2020-2022, while competitors raised prices by 20-30%, Rohm only increased prices by the high single digits. In the current cycle, we expect Rohm to raise prices in line with competitors.
- **Toshiba's semiconductor business acquisition appears worthwhile even at a high price:** We expect the integration with Toshiba Electronic Device Solutions' semiconductor business to proceed smoothly. However, while we had previously assumed an acquisition price of ¥400-600 billion, we now believe this could rise to ¥800 billion or even ¥1 trillion as semiconductor market conditions improve, based on an assumed operating profit of ¥50.0 billion for Toshiba Electronic Device Solutions' semiconductor business next fiscal year and net profit of just under ¥40 billion, with a P/E of 20-25x. We estimate that Rohm's Toshiba shareholdings are currently worth around ¥1.2-1.3 trillion after tax, even at Kioxia's current share price of around ¥55,000. We believe this business integration with Toshiba's

semiconductor business offers a worthwhile opportunity for Rohm. On the other hand, we believe there are still many unclear points surrounding the integration with Mitsubishi Electric's power semiconductor business. If Rohm is unable to control the integrated business, we believe it would be appropriate to reconsider the transaction. Acquiring Toshiba Electronic Device Solutions' semiconductor business would fortify Rohm's weak areas in low- and medium-voltage power semiconductors (Toshiba ranks second or third globally in 100V Si-MOSFETs (as of Apr-Jun 2026), which are seeing stronger demand in AI applications), enhance the company's competitiveness in 3,000V/1,700V SiC-MOSFETs, which are likely to see stronger demand in SST applications, and provide access to 12-inch discrete semiconductor production lines. In addition, Rohm would acquire products it does not currently offer, such as photocouplers, CIS, and high-end logic devices, as well as a large number of engineers.

- **Operating profit of ¥200-250 billion possible in FY2028 with Toshiba's semiconductor business integration:** Based on Gartner® forecasts and current semiconductor prices, we estimate that Toshiba Electronic Device Solutions' semiconductor business will generate sales of ¥430-440 billion and operating profit of around ¥35 billion in FY2026. Combined with Rohm, we expect total sales of just under ¥1 trillion and operating profit of just under ¥100 billion. This assumes that the current semiconductor market squeeze persists and that analog and discrete semiconductors remain in tight supply for AI servers, and we estimate the two companies could see growth of up to around ¥1.2 trillion in sales and up to ¥220 billion in operating profit on a simple aggregate basis in FY2028. If the business integration reduces fixed costs, we think the two integrated companies could even generate operating profit of around ¥250 billion and net profit of around ¥175 billion. Applying a P/E of 20x to our FY2028 estimates, the Bloomberg consensus average P/E for the industrial electronics sector (as of 25 Sep), we see upside potential in market capitalization to around ¥3.5 trillion.

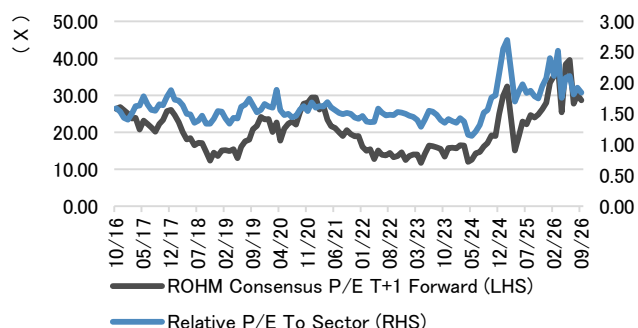
Valuation

- Our December 2027 price target is ¥8,000, calculated by adding the ¥4,000 per share after-tax value of Rohm's Toshiba shareholdings to the ¥4,000 per share figure derived from our ROIC model ($EV/IC = ROIC/WACC$) using our FY2028 estimates and assuming zero growth ($R_f = 2.57\%$, $R_p = 5.15\%$, $\beta = 1.0$, $WACC = 7.15\%$).
- Our analysis shows that Rohm holds nearly 15% of Toshiba's shares. We now estimate Toshiba's market capitalization at about ¥8.5 trillion, assuming its company-wide ROS (operating margin) recovers to its target of 12% in FY2026 (operating profit of ¥540 billion and net profit of about ¥380 billion based on a 30% tax rate) and applying the industrial electronics sector's average P/E of about 23x based on the Bloomberg consensus estimate for FY2026 (as of September 25). Furthermore, Toshiba currently holds around 12.8% of Kioxia's shares (as of September 25). Based on our ¥130,000 price target for Kioxia (covered by Jay Kwon and Mio Shikanai), Kioxia's market capitalization is about ¥71 trillion, and the value of Toshiba's stake in Kioxia is ¥9.1 trillion. We estimate the value of Toshiba shares, including Kioxia stock, at around ¥17.6 trillion, which works out at a value of ¥2.5 trillion for Rohm's Toshiba shareholdings, or about ¥1.8 trillion after tax (¥4,000 per share).
- In 1Q FY2026, Toshiba recorded sales of ¥937.1 billion (up 27% YoY), operating profit of ¥112.8 billion (up 2.8x YoY), and ROS improved to 12% in 1Q, exceeding its FY2026 target of 10%. We estimate the value of Toshiba shares by applying the

seasonality of sales since its delisting in FY2024, assuming FY2026 sales of ¥4.5 trillion and that full-year ROS will remain at the 1Q level of 12%.

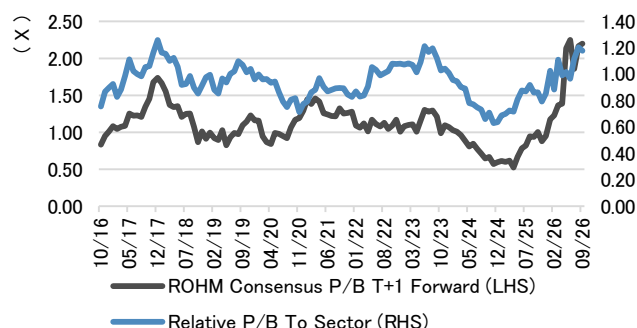
- If Kioxia's share price holds steady at its current level of around ¥55,000, we estimate the after-tax per-share value of Rohm's Toshiba shareholdings at about ¥2,800.
- Our price target was previously calculated by adding the ¥4,600 after-tax per-share value of the Toshiba stake to the ¥3,400 per share derived from our ROIC model ($EV/IC = ROIC/WACC$) using our FY2028 estimates and assuming zero growth ($R_f = 2.57\%$, $R_p = 5.15\%$, $\beta = 1.0$, $WACC = 6.8\%$). We had estimated Toshiba's market capitalization at about ¥5.8 trillion, assuming its company-wide ROS (operating margin) recovered to its target of 10% in FY2026 (operating profit of ¥350 billion and net profit of about ¥250 billion based on a 30% tax rate) and applying the industrial electronics sector's average P/E of about 23x based on the Bloomberg consensus estimate for FY2026 (as of June 30). Furthermore, Toshiba held around 16% of Kioxia's shares, while market cap was around ¥85 trillion based on the previous ¥155,000 price target, and Toshiba's stake in Kioxia thus amounted to ¥13.5 trillion on this basis. We had estimated the value of Toshiba shares, including Kioxia stock, at approximately ¥19.3 trillion, which works out at a value of ¥2.8 trillion for Rohm's Toshiba shareholdings, or about ¥1.9 trillion after tax (¥4,600 per share).

Figure 1: 12-Month Forward Consensus P/E, Sector Relative P/E



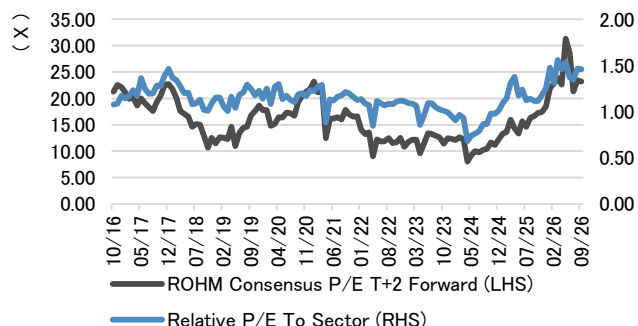
Source: Bloomberg Finance L.P. estimates, J.P. Morgan.
Note: Share price and consensus as of Sep 25

Figure 2: 12-Month Forward Consensus P/B, Sector Relative P/B



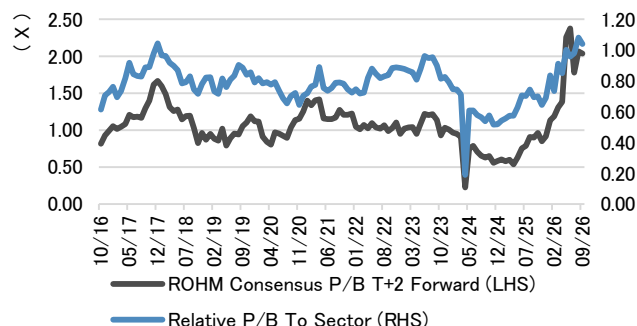
Source: Bloomberg Finance L.P. estimates, J.P. Morgan.
Note: Share price and consensus as of Sep 25

Figure 3: 24-Month Forward Consensus P/E, Sector Relative P/E



Source: Bloomberg Finance L.P. estimates, J.P. Morgan.
Note: Share price and consensus as of Sep 25

Figure 4: 24-Month Forward Consensus P/B, Sector Relative P/B



Source: Bloomberg Finance L.P. estimates, J.P. Morgan.
Note: Share price and consensus as of Sep 25

Figure 5: Earnings Forecasts Summary

Rohm	Sales		Operating Profits			Recurring Profits		Net Profits		EPS	BPS	DPS	Capex	Dep.	R&D
	JPY mn	YoY	JPY mn	YoY	OPM	JPY mn	YoY	JPY mn	YoY	JPY	JPY	JPY	JPY mn	JPY mn	JPY mn
FY3/25	448,466	-4.1%	-40,061	-	-8.9%	-29,698	-	-50,065	-	-110.6	2,303.3	50.0	133,017	83,418	57,245
FY3/26	481,148	7.3%	10,864	-	2.3%	19,222	-	-158,424	-	-350.0	1,963.7	50.0	82,403	57,024	46,603
FY3/27E	561,994	16.8%	63,875	487.9%	11.4%	71,333	271.1%	51,039	-	112.8	2,043.7	50.0	63,084	40,151	43,574
FY3/28E	616,128	9.6%	115,739	81.2%	18.8%	123,539	73.2%	86,437	69.4%	191.0	2,204.9	60.0	70,400	47,048	46,000
FY3/29E	673,338	9.3%	152,047	31.4%	22.6%	159,847	29.4%	111,853	29.4%	247.1	2,411.0	80.0	70,400	53,648	48,000
FY3/27E	557,075	15.8%	62,780	477.9%	11.3%	70,580	267.2%	49,366	-	111.3	2,008.9	50.0	60,000	41,200	44,400
FY3/28E	613,407	10.1%	93,828	49.5%	15.3%	101,628	44.0%	71,100	44.0%	164.8	2,100.1	55.0	60,000	48,400	46,000
FY3/29E	669,781	9.2%	120,109	28.0%	17.9%	127,909	25.9%	89,496	25.9%	213.5	2,238.2	65.0	60,000	56,400	48,000
FY3/27E	CoE as of May 25	510,000	6.0%	30,000	176.1%	5.9%	36,000	87.3%	29,000	-	64.1	-	60,000	41,300	47,800
FY3/27E	CoE as of Aug 25	510,000	6.0%	30,000	176.1%	5.9%	36,000	87.3%	29,000	-	64.1	-	60,000	41,300	47,800
FY3/27E	BBG	510,406	6.1%	38,093	250.6%	7.5%	46,917	144.1%	35,765	-	92.1	2,235.0	66,200	47,267	-
FY3/28E	BBG	535,649	4.9%	60,050	57.6%	11.2%	69,838	48.9%	52,788	47.6%	136.2	2,336.3	61,200	46,817	-
FY3/29E	BBG	571,617	6.7%	83,529	39.1%	14.6%	86,688	24.1%	70,404	33.4%	183.2	2,240.8	67,000	47,000	-
FY3/25	1H	232,022	-3.0%	-974	-	-0.4%	-129	-	2,068	-94.5%	4.6	2,095.0	52,713	40,319	29,759
	2H	216,444	-5.3%	-39,087	-	-18.1%	-29,569	-	-52,133	-	-115.2	2,303.3	80,304	43,099	27,486
FY3/26	1H	244,228	5.3%	7,653	-	3.1%	13,422	-	10,318	398.9%	22.8	2,341.6	51,917	27,148	22,791
	2H	236,920	9.5%	3,211	-	1.4%	5,800	-	-168,742	-	-372.8	1,963.7	30,486	29,876	23,812
FY3/27	1HE JPM	279,599	14.5%	29,013	279.1%	10.4%	32,571	142.7%	23,925	131.9%	52.9	-	29,884	18,471	21,374
	2HE JPM	282,395	19.2%	34,862	985.7%	12.3%	38,762	568.3%	27,113	-	59.9	-	33,200	21,680	22,200
FY3/28	1HE JPM	306,368	9.6%	58,598	102.0%	19.1%	62,498	91.9%	43,728	82.8%	96.6	-	35,200	21,524	23,000
	2HE JPM	309,760	9.7%	57,141	63.9%	18.4%	61,041	57.5%	42,709	57.5%	94.4	-	35,200	25,524	23,000
FY3/29	1HE JPM	331,845	8.3%	74,405	27.0%	22.4%	78,305	25.3%	54,794	25.3%	129.5	-	35,200	24,824	24,000
	2HE JPM	341,493	10.2%	77,641	35.9%	22.7%	81,541	33.6%	57,059	33.6%	134.9	-	35,200	28,824	24,000
FY3/25	1Q	118,276	-1.6%	1,270	-92.8%	1.1%	9,250	-67.0%	3,463	-82.8%	7.7	2,565.5	21,461	19,764	14,598
	2Q	113,746	-4.5%	-2,244	-	-2.0%	-9,379	-	-1,395	-	-3.1	2,456.6	31,252	20,555	15,161
	3Q	112,620	-2.8%	-10,106	-	-9.0%	445	-95.6%	-1,858	-	-4.1	2,498.8	32,209	21,204	13,746
	4Q	103,824	-7.8%	-28,981	-	-27.9%	-30,014	-	-50,275	-	-111.1	2,303.3	48,095	21,895	13,740
FY3/26	1Q	116,205	-1.8%	195	-84.6%	0.2%	2,484	-73.1%	2,966	-14.4%	6.6	2,283.4	31,114	13,137	11,465
	2Q	128,023	12.6%	7,458	-	5.8%	10,938	-	7,352	-	16.2	2,341.6	20,803	14,011	11,326
	3Q	125,287	11.2%	2,050	-	1.6%	1,636	267.6%	4,504	-	10.0	2,397.8	11,423	14,414	10,611
	4Q	111,633	7.5%	1,161	-	1.0%	4,164	-	-173,246	-	-382.8	1,964	19,063	15,462	13,201
FY3/27	1QE	135,739	16.8%	9,635	4841.0%	7.1%	11,243	352.6%	9,006	203.6%	19.9	2,005.6	13,284	8,831	10,274
	2QE JPM	143,860	12.4%	19,378	159.8%	13.5%	21,328	95.0%	14,919	102.9%	33.0	-	16,600	9,640	11,100
	3QE JPM	145,723	16.3%	21,225	935.4%	14.6%	23,175	1316.6%	16,212	260.0%	35.8	-	16,600	10,440	11,100
	4QE JPM	136,672	22.4%	13,637	1074.6%	10.0%	15,587	274.3%	10,901	-	24.1	-	16,600	11,240	11,100
FY3/28	1QE JPM	150,172	10.6%	27,540	185.8%	18.3%	29,490	162.3%	20,633	129.1%	45.6	-	17,600	10,262	11,500
	2QE JPM	156,196	8.6%	31,058	60.3%	19.9%	33,008	54.8%	23,096	54.8%	51.0	-	17,600	11,262	11,500
	3QE JPM	159,625	9.5%	32,630	53.7%	20.4%	34,580	49.2%	24,196	49.2%	53.5	-	17,600	12,262	11,500
	4QE JPM	150,134	9.8%	24,511	79.7%	16.3%	26,461	69.8%	18,513	69.8%	40.9	-	17,600	13,262	11,500
FY3/29	1QE JPM	162,511	8.2%	35,144	27.6%	21.6%	37,094	25.8%	25,956	25.8%	61.3	-	17,600	11,912	12,000
	2QE JPM	169,334	8.4%	39,261	26.4%	23.2%	41,211	24.9%	28,838	24.9%	68.2	-	17,600	12,912	12,000
	3QE JPM	175,177	9.7%	42,644	30.7%	24.3%	44,594	29.0%	31,206	29.0%	73.8	-	17,600	13,912	12,000
	4QE JPM	166,316	10.8%	34,998	42.8%	21.0%	36,948	39.6%	25,853	39.6%	61.1	-	17,600	14,912	12,000

Source: Company data, Bloomberg Finance L.P. estimates, J.P. Morgan estimates.

Note: Share price and consensus as of Sep 25

Figure 6: Sales and OP Forecasts by Segment (Half Year, Full Year)

FY	FY3/2024	FY3/2025	FY3/2026	FY3/2027E	FY3/2028E	FY3/2029E	FY3/2027E	FY3/2028E	FY3/2029E	FY3/2027E	FY3/2027E	FY3/2027E	FY3/2028E	FY3/2028E	FY3/2028E	FY3/2029E	FY3/2029E
JPY mn																	
				JPM New	JPM New	JPM New	JPM Old	JPM Old	JPM Old	CoE 26/5	CoE 26/8	1H	2H	1H	2H	1H	2H
Sales	467,780	448,466	481,148	561,994	616,128	673,338	557,075	613,407	669,781	510,000	510,000	244,228	236,920	279,599	282,395	306,368	309,760
yoy % chg.	-7.9%	-4.1%	7.3%	16.8%	9.6%	9.3%	15.8%	10.1%	9.2%	6.0%	6.0%	5.3%	9.5%	14.5%	19.2%	9.6%	9.7%
seq % chg.	-	-	-	-	-	-	-	-	-	-	-	12.8%	-3.0%	18.0%	1.0%	8.5%	1.1%
as a % of sales	31.1%	16.6%	23.9%	30.5%	36.9%	39.7%	31.0%	33.9%	35.6%	-	-	58,451	56,776	81,539	89,862	113,124	114,141
SGA	102,365	114,324	104,363	107,526	111,526	115,526	110,000	114,000	118,000	-	-	23.9%	24.0%	29.2%	31.8%	36.9%	36.8%
as a % of sales	21.9%	25.5%	21.7%	19.1%	18.1%	17.2%	19.7%	18.6%	17.6%	-	-	50,798	53,565	52,526	55,000	54,526	57,000
Operating profits	43,327	-40,061	10,864	63,875	115,739	152,047	62,780	93,828	120,109	30,000	30,000	7,653	3,211	29,013	34,862	58,598	57,141
yoy % chg.	-53.1%	-	-	487.9%	81.2%	31.4%	477.9%	49.5%	28.0%	176.1%	176.1%	-	-	279.1%	985.7%	102.0%	63.9%
seq % chg.	-	-	-	-	-	-	-	-	-	-	-	-	-58.0%	803.5%	20.2%	68.1%	-2.5%
as a % of sales	9.3%	-8.9%	2.3%	11.4%	18.8%	22.6%	11.3%	15.3%	17.9%	5.9%	5.9%	3.1%	1.4%	10.4%	12.3%	19.1%	18.4%
Recurring profits	69,200	-29,696	19,222	71,333	123,539	159,847	70,098	101,628	127,909	36,000	36,000	13,422	5,800	32,571	38,762	62,498	61,041
as a % of sales	14.8%	-6.6%	4.0%	12.7%	20.1%	23.7%	12.6%	16.6%	19.1%	7.1%	7.1%	5.5%	2.4%	11.6%	13.7%	20.4%	19.7%
Net Profits	53,965	-50,065	-158,424	51,039	86,437	111,853	49,028	71,100	89,496	29,000	29,000	10,318	-168,742	23,925	27,113	43,728	42,709
as a % of sales	11.5%	-11.2%	-32.9%	9.1%	14.0%	16.6%	8.8%	11.6%	13.4%	5.7%	5.7%	4.2%	-71.2%	8.6%	9.6%	14.3%	13.8%
R&D	44,423	57,245	46,603	43,574	46,000	48,000	44,400	46,400	48,000	47,800	47,800	22,791	23,812	21,374	22,200	23,000	23,000
Depreciation	72,069	83,418	57,024	40,151	47,048	53,648	41,200	48,400	56,400	41,300	41,300	27,148	29,876	18,471	21,680	21,524	25,524
Capex	186,755	133,017	82,403	63,084	70,400	70,400	60,000	60,000	60,000	60,000	60,000	51,917	30,486	29,884	33,200	35,200	35,200
Inventory	223,670	203,457	202,307	-	-	-	-	-	-	-	-	200,031	202,307	-	-	-	-
Sales																	
LSI	207,222	203,833	218,390	258,998	279,303	300,571	253,917	275,606	294,664	235,000	235,000	114,218	104,172	130,454	128,544	139,324	139,979
yoy % chg.	-11.33%	-1.64%	7.14%	18.59%	7.84%	7.61%	16.27%	8.54%	6.91%	7.61%	7.61%	9.58%	4.59%	14.21%	23.40%	6.80%	8.90%
seq % chg.	-	-	-	-	-	-	-	-	-	-	-	14.7%	-8.8%	25.2%	-1.5%	8.4%	0.5%
as a % of total	44.30%	45.45%	45.39%	46.09%	45.33%	44.64%	45.58%	44.93%	43.99%	46.08%	46.08%	46.77%	43.97%	46.66%	45.52%	45.48%	45.19%
Discrete	201,948	187,053	205,263	247,712	281,461	316,869	249,045	283,103	319,805	222,300	222,300	99,980	105,283	120,352	127,360	139,171	142,290
yoy % chg.	-4.85%	-7.38%	9.74%	20.68%	13.62%	12.58%	21.33%	13.68%	12.96%	8.30%	8.30%	2.79%	17.25%	20.38%	20.97%	15.64%	11.72%
seq % chg.	-	-	-	-	-	-	-	-	-	-	-	11.3%	5.3%	14.3%	5.8%	9.3%	2.2%
as a % of total	43.17%	41.71%	42.66%	44.08%	45.68%	47.06%	44.71%	46.15%	47.75%	43.59%	43.59%	40.94%	44.44%	43.04%	45.10%	45.43%	45.94%
Modules	32,908	32,557	31,589	30,273	30,409	30,855	29,700	30,025	30,359	29,700	29,700	17,137	14,452	15,973	14,300	15,239	15,170
yoy % chg.	-4.13%	-1.07%	-2.97%	-4.17%	0.45%	0.81%	-5.98%	1.09%	1.11%	-5.98%	-5.98%	-3.36%	-2.51%	-6.79%	-1.05%	-4.59%	6.08%
seq % chg.	-	-	-	-	-	-	-	-	-	-	-	15.6%	-15.7%	10.5%	-10.5%	6.6%	-0.5%
as a % of total	7.03%	7.26%	6.57%	5.39%	4.94%	4.55%	5.33%	4.89%	4.53%	5.82%	5.82%	7.02%	6.10%	5.71%	5.06%	4.97%	4.90%
Others	25,702	25,023	25,906	25,011	24,955	25,243	24,413	24,674	24,954	23,000	23,000	12,893	13,013	12,820	12,191	12,634	12,321
yoy % chg.	-6.91%	-2.64%	3.53%	-3.45%	-0.22%	1.16%	-5.76%	1.07%	1.14%	-11.22%	-11.22%	0.76%	6.43%	-0.57%	-6.32%	-1.45%	1.06%
seq % chg.	-	-	-	-	-	-	-	-	-	-	-	5.4%	0.9%	-1.5%	-4.9%	3.6%	-2.5%
as a % of total	5.49%	5.68%	5.38%	4.45%	4.05%	3.75%	4.38%	4.02%	3.73%	4.51%	4.51%	5.28%	5.49%	4.59%	4.32%	4.12%	3.98%
Total Sales	467,780	448,466	481,148	561,994	616,128	673,338	557,075	613,407	669,781	510,000	510,000	244,228	236,920	279,599	282,395	306,368	309,760
yoy % chg.	-7.9%	-4.1%	7.29%	16.80%	9.83%	9.29%	15.78%	10.11%	9.19%	6.00%	6.00%	5.26%	9.46%	14.48%	19.19%	9.57%	9.69%
hoh % chg.	-	-	-	-	-	-	-	-	-	-	-	12.84%	-2.99%	18.01%	1.00%	8.49%	1.11%
Operating profits																	
LSI	21,269	-767	24,535	35,121	57,749	74,300	31,752	50,019	64,312	-	-	12,955	11,580	18,476	16,644	29,029	28,720
yoy % chg.	-55.83%	-	-	43.15%	64.43%	28.66%	29.42%	57.53%	28.58%	-	-	134.23%	-	42.62%	43.73%	57.11%	72.55%
seq % chg.	-	-	-	-	-	-	-	-	-	-	-	-	-10.6%	-9.9%	74.4%	-1.1%	28.4%
as a % of sales	10.26%	-0.38%	11.23%	13.56%	20.68%	24.72%	12.50%	18.15%	21.83%	-	-	11.34%	11.12%	14.16%	12.95%	20.84%	20.52%
Discrete	12,964	-45,899	-22,704	21,408	51,632	70,987	25,642	37,985	49,512	-	-	-8,809	-12,895	5,476	15,932	26,247	25,385
yoy % chg.	-62.45%	-	-	141.18%	37.49%	-	-	48.14%	30.35%	-	-	-	-	-	-	379.30%	59.33%
seq % chg.	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	64.7%	-3.3%
as a % of sales	6.42%	-24.54%	-11.06%	8.64%	18.34%	22.40%	10.30%	13.42%	15.48%	-	-	-9.81%	-12.25%	4.55%	12.51%	18.86%	17.84%
Modules	2,005	2,691	3,522	2,546	2,648	2,832	2,297	2,541	2,791	-	-	2,430	1,092	1,900	648	1,350	1,298
yoy % chg.	-53.20%	34.21%	30.88%	-27.72%	4.01%	6.97%	-34.78%	10.61%	9.86%	-	-	13.18%	100.74%	-21.80%	-40.89%	-28.97%	101.08%
seq % chg.	-	-	-	-	-	-	-	-	-	-	-	346.7%	-55.1%	74.0%	-66.0%	109.1%	-3.8%
as a % of sales	6.09%	8.27%	11.15%	8.41%	8.71%	9.24%	7.73%	8.46%	9.19%	-	-	14.18%	7.56%	11.90%	4.51%	8.86%	8.56%
Others	2,154	2,524	4,104	2,552	2,510	2,727	1,889	2,084	2,294	-	-	2,057	2,047	1,512	1,040	1,373	1,137
yoy % chg.	-57.67%	17.18%	62.60%	-37.81%	-1.65%	8.62%	-53.98%	10.34%	10.08%	-	-	34.62%	105.52%	-26.49%	-49.18%	-9.22%	9.35%
seq % chg.	-	-	-	-	-	-	-	-	-	-	-	106.5%	-0.5%	-12.6%	-31.2%	32.0%	-17.1%
as a % of sales	8.38%	10.09%	15.84%	10.20%	10.06%	10.80%	7.74%	8.45%	9.19%	-	-	15.95%	15.73%	11.79%	8.53%	10.86%	9.23%
Elimination	4,935	1,390	1,407	2,348	1,200	1,200	1,200	1,200	1,200	-	-	20	1,387	1,648	600	600	600
yoy % chg.	1820.23%	-71.83%	1.22%	59.77%	-46.62%	0.00%	-14.71%	0.00%	0.00%	-	-	-91.56%	20.29%	8140.00%	-56.74%	-63.59%	0.00%
seq % chg.	-	-	-	-	-	-	-	-	-	-	-	-98.3%	6835.0%	18.8%	-63.6%	0.0%	0.0%
as a % of total	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Total OP	43,327	-40,061	10,864	63,875	115,739	152,047	62,780	93,828	120,109	30,000	30,000	7,653	3,211	29,013	34,862	58,598	57,141
yoy % chg.	-53.07%	-	-	487.95%	81.20%	31.37%	477.87%	49.46%	28.01%	176.14%	176.14%	-	-	279.10%	985.70%	101.97%	63.91%
seq % chg.	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
as a % of sales	9.26%	-8.93%	2.26%	11.37%	18.78%	22.58%	11.27%	15.30%	17.93%	5.88%	5.88%	3.13%	1.36%	10.38%	12.35%	19.13%	18.45%
Sales by application																	
Automotive	229,363	223,761	236,835	-	-	-	-	-	-	250,200	250,200	114,097	122,738	64,777	0	0	0
yoy % chg.	7.71%	-2.44%	5.84%	-	-	-	-	-	-	5.66%	5.66%	-0.25%	12.22%	-43.23%	-	-	-
seq % chg.	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
as a % of sales	49.03%	49.89%	49.22%	-	-	-	-	-	-	-	-	46.72%	51.81%	47.72%	-	-	-
Industry	68,736	57,290	61,319	-	-	-	-	-	-	64,400	64,400	30,709	30,610	19,378	0	0	0
yoy % chg.	-23.43%	-16.65%	7.03%	-	-	-	-	-	-	5.06%	5.06%	3.46%	10.87%	-36.90%	-	-	-
seq % chg.	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
as a % of sales	14.69%	12.77%	12.74%	-	-	-	-	-	-	-	-	12.57%	12.92%	14.28%	-	-	-
Consumer	92,672	93,310	105,401	-	-	-	-	-	-	103,800	103,800	59,659	45,742	26,812	0	0	0
yoy % chg.	-17.51%	0.69%	12.96%	-	-	-	-	-	-	-1.52%	-1.52%	23.64%	1.52%	-55.39%	-	-	-
seq % chg.	-	-	-														

Figure 7: Sales and OP Forecasts by Segment (Quarterly)

	FY3/2026				FY3/2027				FY3/2028E				FY3/2029E			
JPY/mn	1Q	2Q	3Q	4Q	1Q	2QE	3QE	4QE	1QE	2QE	3QE	4QE	1QE	2QE	3QE	4QE
						JPM	JPM	JPM	JPM	JPM	JPM	JPM	JPM	JPM	JPM	JPM
Sales	116,205	128,023	125,287	111,633	135,739	143,860	145,723	136,672	150,172	156,196	159,625	150,134	162,511	169,334	175,177	166,316
%y %chg.	-1.8%	12.6%	11.2%	7.5%	16.8%	12.4%	16.3%	22.4%	10.6%	8.6%	9.5%	9.8%	8.2%	8.4%	9.7%	10.8%
%q %chg.	11.9%	10.2%	-2.1%	-10.9%	21.6%	6.0%	1.3%	-6.2%	9.9%	4.0%	2.2%	-5.9%	8.2%	4.2%	3.5%	-5.1%
Gross profits	25,776	32,675	26,947	29,829	34,661	46,878	48,725	41,137	53,566	59,558	61,130	53,011	62,170	68,761	72,144	64,498
as a % of sales	22.2%	25.5%	21.5%	26.7%	25.5%	32.6%	33.4%	30.1%	35.7%	38.1%	38.3%	35.3%	38.3%	40.6%	41.2%	38.6%
SGA	25,581	25,217	24,897	28,668	25,026	27,500	27,500	27,500	26,026	28,500	28,500	28,500	27,026	29,500	29,500	29,500
as a % of sales	22.0%	19.7%	19.9%	25.7%	18.4%	19.1%	18.9%	20.1%	17.3%	18.2%	17.9%	19.0%	16.6%	17.4%	16.8%	17.7%
Operating profits	195	7,458	2,050	1,161	9,635	19,378	21,225	13,337	27,540	31,058	32,630	24,511	35,144	39,261	42,644	34,998
%y %chg.	-84.6%	-	-	-	4841.0%	159.8%	935.4%	1074.6%	185.8%	60.3%	53.7%	79.7%	27.6%	26.4%	30.7%	42.8%
%q %chg.	-	3724.6%	-72.5%	-43.4%	729.9%	101.1%	9.5%	-35.8%	101.9%	12.8%	5.1%	-24.9%	43.4%	11.7%	8.6%	-17.9%
as a % of sales	0.2%	5.8%	1.6%	1.0%	7.1%	13.5%	14.6%	10.0%	18.3%	19.9%	20.4%	16.3%	21.6%	23.2%	24.3%	21.0%
Recurring profits	2,484	10,938	1,636	4,164	11,243	21,328	23,175	15,587	29,490	33,008	34,580	26,461	37,094	41,211	44,594	36,948
as a % of sales	2.1%	8.5%	1.3%	3.7%	8.3%	14.8%	15.9%	11.4%	19.6%	21.1%	21.7%	17.6%	22.8%	24.3%	25.5%	22.8%
Net Profits	2,966	7,352	4,504	-173,246	9,006	14,919	16,212	10,941	20,633	23,096	24,196	18,513	25,566	28,838	31,206	25,253
as a % of sales	2.6%	5.7%	3.6%	-155.2%	6.6%	10.4%	11.1%	8.0%	13.7%	14.8%	15.2%	12.3%	16.0%	17.0%	17.8%	15.5%
R&D	11,465	11,326	10,611	13,201	10,274	11,100	11,100	11,100	11,500	11,500	11,500	11,500	12,000	12,000	12,000	12,000
Depreciation	13,137	14,011	14,414	15,462	8,831	9,640	10,440	11,240	10,262	11,262	12,262	13,262	11,912	12,912	13,912	14,912
Capex	31,114	20,803	11,423	19,063	13,284	16,600	16,600	16,600	17,600	17,600	17,600	17,600	17,600	17,600	17,600	17,600
Inventory	201,924	200,031	196,791	202,307	201,842	-	-	-	-	-	-	-	-	-	-	-
Sales																
LSI	54,816	59,402	55,142	49,030	62,128	68,326	68,351	60,194	67,290	72,033	73,844	66,135	71,951	77,449	79,095	72,076
%y %chg.	1.99%	17.66%	6.75%	2.26%	13,34%	15.02%	23.95%	22.77%	8.31%	5.43%	8.04%	9.87%	6.93%	7.52%	7.11%	8.98%
%q %chg.	14.33%	8.37%	-7.17%	-11.08%	26.71%	9.98%	0.04%	-11.93%	11.79%	7.05%	2.51%	-10.44%	8.79%	7.64%	2.13%	-8.87%
as % of total	47.17%	46.40%	44.01%	43.92%	45.77%	47.26%	46.90%	44.04%	44.51%	46.12%	46.26%	44.65%	44.27%	45.74%	45.5%	43.94%
Discrete	47,069	52,911	55,857	49,426	59,932	61,420	63,740	63,620	69,801	70,170	71,770	70,520	76,542	77,758	81,935	80,634
%y %chg.	-3.86%	9.54%	19.19%	15.15%	25.20%	16.08%	14.11%	28.72%	17.09%	14.25%	12.60%	10.85%	10.93%	10.81%	14.16%	14.34%
%q %chg.	9.65%	12.41%	5.57%	-11.51%	19.23%	4.22%	3.78%	-0.19%	8.46%	1.69%	2.28%	-1.74%	8.54%	1.59%	5.37%	-1.50%
as a % of total	40.51%	41.33%	44.58%	44.28%	43.42%	42.69%	43.74%	46.55%	45.95%	44.92%	44.96%	46.97%	47.10%	45.92%	46.77%	48.48%
Modules	7,994	9,143	7,778	6,674	8,073	7,900	7,400	6,900	7,529	7,710	7,710	7,460	7,592	7,771	7,771	7,481
%y %chg.	-10.53%	3.92%	-1.92%	-3.19%	0.99%	-13.60%	-4.86%	3.39%	-6.74%	-2.41%	4.19%	8.12%	0.83%	0.79%	0.79%	0.82%
%q %chg.	15.96%	14.37%	-14.93%	-14.19%	20.96%	-2.14%	-6.33%	-6.76%	9.12%	2.40%	0.00%	-3.24%	1.32%	2.36%	0.00%	-3.22%
as a % of total	6.88%	7.14%	6.21%	5.98%	5.95%	5.49%	5.08%	5.05%	5.01%	4.94%	4.83%	4.97%	4.67%	4.59%	4.44%	4.52%
Others	6,326	6,567	6,510	6,503	6,606	6,214	6,232	5,958	6,352	6,283	6,301	6,019	6,427	6,356	6,375	6,085
%y %chg.	-4.70%	6.64%	5.54%	7.33%	4.43%	-5.37%	-4.26%	-8.37%	-3.85%	1.10%	1.11%	1.02%	1.19%	1.17%	1.18%	1.09%
%q %chg.	4.41%	3.81%	-0.87%	-0.11%	1.58%	-5.93%	0.29%	-4.40%	6.60%	-1.09%	0.30%	-4.48%	1.78%	-1.11%	0.31%	-4.56%
as a % of total	5.44%	5.13%	5.20%	5.83%	4.87%	4.32%	4.28%	4.36%	4.23%	4.02%	3.95%	4.01%	3.95%	3.75%	3.64%	3.66%
Total Sales	116,205	128,023	125,287	111,633	135,739	143,860	145,723	136,672	150,172	156,196	159,625	150,134	162,511	169,334	175,177	166,316
%y %chg.	-1.75%	12.55%	11.25%	7.52%	16.81%	12.37%	16.31%	22.43%	10.63%	8.58%	9.54%	9.85%	8.22%	8.41%	9.74%	10.78%
%q %chg.	11.92%	10.17%	-2.14%	-10.90%	21.59%	5.98%	1.30%	-6.21%	9.88%	4.01%	2.20%	-9.95%	8.24%	4.20%	3.45%	-5.06%
Operating profits																
LSI	4,328	8,627	6,982	4,598	7,314	11,162	11,531	5,113	12,836	16,193	17,351	11,369	16,481	20,405	21,439	15,975
%y %chg.	8.15%	464.22%	-	-	68.99%	29.39%	65.15%	11.21%	75.50%	45.07%	50.48%	122.34%	28.40%	26.01%	23.56%	40.51%
%q %chg.	-	99.33%	-19.07%	-34.14%	59.07%	52.62%	3.30%	-55.65%	51.02%	26.16%	7.15%	-34.48%	49.06%	23.81%	5.07%	-25.49%
as a % of sales	7.90%	14.52%	12.66%	9.38%	11.77%	16.34%	16.87%	8.49%	19.08%	22.48%	23.50%	17.19%	22.91%	26.35%	27.11%	22.60%
Discrete	-6,263	-3,546	-6,679	-6,216	-945	6,421	8,261	7,671	-13,085	-13,162	-13,561	-11,824	-16,940	-17,052	-19,385	-17,169
%y %chg.	-	-	-	-	-	-	-	-	-	-104.98%	64.16%	54.14%	29.46%	29.56%	42.95%	48.93%
%q %chg.	-	-	-	-	-	-	28.66%	-7.14%	70.58%	0.59%	3.03%	-12.81%	43.27%	0.66%	13.68%	-1.96%
as a % of sales	-13.31%	-6.70%	-11.96%	-12.58%	-1.60%	10.45%	12.96%	12.06%	18.96%	18.76%	18.90%	16.77%	22.13%	21.93%	23.66%	21.84%
Modules	859	1,571	581	511	1,015	885	510	193	607	743	743	555	654	789	789	601
%y %chg.	9.43%	13.35%	3.38%	-18.16%	18.16%	-43.87%	-12.18%	-73.53%	40.19%	-16.10%	43.37%	310.54%	7.73%	8.18%	8.18%	8.27%
%q %chg.	-	82.89%	-63.02%	-12.05%	98.63%	-12.78%	-42.36%	-73.49%	348.85%	22.35%	0.00%	-25.24%	17.79%	20.59%	0.00%	-23.77%
as a % of sales	10.75%	17.18%	7.47%	7.66%	12.57%	11.21%	6.90%	1.96%	8.06%	9.63%	9.63%	7.44%	8.61%	10.15%	10.15%	7.99%
Others	1,018	1,039	1,275	772	903	609	623	417	712	660	675	463	769	716	730	512
%y %chg.	45.22%	25.63%	252.21%	21.77%	-11.30%	-41.38%	-51.15%	-45.94%	-21.13%	8.43%	8.31%	10.92%	7.96%	8.34%	8.23%	10.62%
%q %chg.	60.57%	2.06%	22.71%	-39.45%	16.97%	-32.55%	2.26%	-32.99%	70.65%	-7.27%	2.14%	-31.38%	66.09%	-6.94%	2.04%	-29.86%
as a % of sales	16.09%	15.82%	19.59%	11.87%	13.67%	9.80%	9.99%	7.00%	11.21%	10.10%	10.71%	7.69%	11.96%	11.26%	11.45%	8.42%
Elimination	253	-233	-109	1,496	1,348	300	300	300	300	300	300	300	300	300	300	300
%y %chg.	-64.91%	-	-	166.19%	-	432.81%	-	-	-79.95%	-77.74%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%
%q %chg.	-54.98%	-	-	-	-9.89%	-77.74%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%
as a % of total	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Total OP	195	7,458	2,050	1,161	9,635	19,378	21,225	13,337	27,540	31,058	32,630	24,511	35,144	39,261	42,644	34,998
%y %chg.	-84.65%	-	-	-	4841.03%	159.82%	935.37%	1074.59%	185.83%	60.28%	53.73%	79.74%	27.61%	26.41%	30.69%	42.78%
%q %chg.	-	3724.62%	-72.51%	-43.37%	729.89%	101.12%	9.53%	-35.75%	101.95%	12.77%	5.06%	-24.88%	43.38%	11.71%	8.61%	-17.93%
as a % of sales	0.17%	5.83%	1.64%	1.04%	7.10%	13.47%	14.57%	9.98%	18.34%	19.88%	20.44%	16.33%	21.63%	23.19%	24.34%	21.04%
Sales by market																
Automotive	53,896	60,201	65,064	57,674	64,777	-	-	-	-	-	-	-	-	-	-	-
%y %chg.	-6.80%	6.44%	13.89%	10.39%	20.19%	-	-	-	-	-	-	-	-	-	-	-
%q %chg.	3.16%	11.70%	8.08%	-11.36%	12.32%	-	-	-	-	-	-	-	-	-	-	-
as a % of sales	46.38%	47.02%	51.93%	51.66%	47.72%	-	-	-	-	-	-	-	-	-	-	-
Industry	14,618	16,091	15,229	15,381	19,378	-	-	-	-	-	-	-	-	-	-	-
%y %chg.	-4.53%	11.98%	8.92%	12.88%	32.56%	-	-	-	-	-	-	-	-	-	-	-
%q %chg.	7.28%	10.08%	-5.36%	1.00%	25.99%	-	-	-	-	-	-	-	-	-	-	-
as a % of sales	12.58%	12.57%	12.16%	13.78%	14.28%	-	-	-	-	-	-	-	-	-	-	-
Consumer	28,397	31,262	25,598	20,144	26,612	-	-	-	-	-	-	-	-	-	-	-
%y %chg.	12.41%	35.97%	11.48%	-8.83%	-6.29%	-	-	-	-	-	-	-	-	-	-	-
%q %chg.	28.52%	10.09%	-18.12%	-21.31%	32.11%	-	-	-	-	-	-	-	-	-	-	-
as a % of sales	24.44%	24.42%	20.43%	18.04%	19.61%	-	-	-	-	-	-	-	-	-	-	-
Telecommunication	4,451	5,408	4,510	3,933	5,624	-	-	-	-	-	-	-	-	-	-	-
%y %chg.	-17.73%	-4.27%	-8.20%	6.21%	26.3											

Source: Company data, J.P. Morgan estimates.

Figure 8: Profit and Loss Statement

FY	FY3/2024	FY3/2025	FY3/2026	FY3/2027E	FY3/2028E	FY3/2029E	FY3/2026	FY3/2027	FY3/2028E	FY3/2029E	FY3/2026	FY3/2027	FY3/2028E	FY3/2029E	FY3/2026	FY3/2027	FY3/2028E	FY3/2029E
JPYmn	1Q	2Q	3Q	4Q	1Q	2Q	1Q	2Q	3Q	4Q	1Q	2Q	3Q	4Q	1Q	2Q	3Q	4Q
Sales	467,780	448,466	491,148	561,894	616,128	673,338	116,205	128,023	125,287	111,633	135,738	143,860	145,723	136,672	150,172	156,196	159,825	150,134
COGS	322,086	374,203	365,921	390,594	386,863	405,766	90,429	95,348	98,340	81,304	101,078	96,982	95,958	95,535	96,606	96,638	98,486	97,123
Gross Profit	145,692	74,263	115,227	171,401	227,265	267,573	25,776	32,675	26,947	29,829	34,661	46,878	48,725	41,137	53,566	59,558	61,330	53,011
SG&A	102,365	114,324	104,363	107,526	111,526	115,526	25,581	25,217	24,897	28,668	25,026	27,500	27,500	27,500	26,026	28,500	28,500	28,500
Operating Profit	43,327	-40,061	10,864	63,875	115,739	152,047	195	7,458	2,050	1,181	9,635	19,378	21,225	13,637	27,540	31,058	32,830	24,511
Financial Income and Expenses	6,447	9,050	6,935	6,832	6,800	6,800	1,299	2,984	1,415	1,237	1,732	1,700	1,700	1,700	1,700	1,700	1,700	1,700
Foreign Exchange Gains / Losses	12,407	226	-1,042	-482	0	0	1,198	-54	-1,467	-719	-482	0	0	0	0	0	0	0
Others	6,999	1,087	2,465	1,108	1,000	1,000	-208	550	-362	2,485	358	250	250	250	250	250	250	250
Recurring Profit	69,200	-29,898	19,222	71,333	123,539	159,847	2,484	10,938	1,636	4,164	11,243	21,328	23,175	15,587	29,490	33,008	34,580	26,461
Extraordinary Gains	14,028	14,214	25,350	3,102	2,000	2,000	5,019	3,295	8,464	8,572	1,602	500	500	500	500	500	500	500
Extraordinary Losses	11,546	41,247	215,475	3,020	2,000	2,000	4,856	3,190	1,265	206,094	1,520	500	500	500	500	500	500	500
Pretax Profits	71,683	-56,731	-170,802	71,415	123,539	159,847	2,567	11,042	8,836	-193,347	11,325	21,328	23,175	15,587	29,490	33,008	34,580	26,461
Corporate Income Tax	17,675	-6,691	-12,506	20,336	37,062	47,954	-404	3,683	4,320	-20,105	2,309	6,398	6,952	4,676	8,847	9,902	10,374	7,938
Minority Interest	42	24	29	39	40	40	4	8	11	6	9	10	10	10	10	10	10	10
Net Income	53,965	-60,655	-158,424	51,039	86,437	111,853	2,966	7,352	4,504	-173,246	9,006	14,919	16,212	10,901	20,633	23,096	24,196	18,513
Tax Rate	24.66%	11.79%	7.32%	28.48%	30.00%	30.00%	-15.74%	33.35%	48.89%	10.40%	20.39%	30.00%	30.00%	30.00%	30.00%	30.00%	30.00%	30.00%
% to Sales																		
COGS	68.85%	83.44%	76.05%	69.50%	63.11%	60.26%	77.82%	74.48%	78.49%	73.28%	74.46%	67.41%	66.56%	69.90%	64.33%	61.87%	61.70%	64.69%
Gross Profit	31.15%	16.56%	23.95%	30.50%	36.89%	39.74%	22.18%	25.52%	21.51%	26.72%	25.54%	32.59%	33.44%	30.10%	35.67%	38.13%	38.30%	35.31%
SG&A	21.88%	25.49%	21.89%	19.13%	18.10%	17.16%	22.01%	19.70%	19.87%	25.68%	18.44%	19.12%	18.87%	20.12%	17.33%	18.25%	17.85%	18.98%
EBITDA	24.67%	9.67%	14.11%	18.51%	26.42%	30.55%	11.47%	16.77%	13.14%	14.89%	13.60%	20.17%	21.73%	16.20%	25.17%	27.09%	28.12%	25.16%
Operating Profit	9.28%	-8.93%	2.22%	11.37%	18.78%	22.58%	0.17%	5.83%	1.64%	1.04%	7.10%	13.47%	14.57%	9.88%	18.34%	19.88%	20.44%	16.33%
Recurring Profit	14.79%	-6.82%	4.00%	12.69%	20.05%	23.74%	2.14%	8.54%	1.31%	3.73%	8.28%	14.83%	15.90%	11.40%	19.84%	21.31%	21.86%	17.63%
Net Profit	11.54%	-11.16%	-32.93%	9.08%	14.03%	16.61%	2.55%	5.74%	3.59%	-155.19%	6.63%	10.37%	11.13%	7.98%	13.74%	14.79%	15.16%	12.33%
YoY Analysis																		
Sales	-7.90%	-4.13%	7.29%	16.80%	9.63%	9.29%	-1.75%	12.55%	11.25%	7.52%	16.81%	12.37%	16.31%	22.43%	10.63%	8.58%	9.54%	9.85%
Gross Profit	-24.77%	-49.03%	55.16%	48.75%	32.51%	17.74%	-12.92%	20.61%	49.55%	-	34.47%	43.47%	80.82%	37.91%	54.54%	27.05%	25.46%	28.87%
SG&A	1.01%	11.68%	-8.71%	3.03%	3.72%	3.99%	-9.71%	-14.04%	-11.48%	0.48%	-2.17%	9.05%	10.46%	-4.07%	4.00%	3.64%	3.64%	3.64%
Operating Profit	-53.07%	-	-	487.96%	81.20%	31.37%	-84.65%	-	-	-	-4841.03%	199.62%	935.37%	1074.59%	185.83%	60.28%	53.73%	79.74%
Recurring Profit	-36.82%	-	-	271.10%	73.19%	29.39%	-73.10%	-	267.64%	-	352.62%	94.99%	1316.56%	274.33%	162.29%	54.77%	49.21%	69.77%
Profit Before Tax	-34.54%	-	-	72.99%	29.39%	-	-71.95%	-	2389.01%	-	34.18%	93.15%	162.28%	-	160.40%	54.77%	49.21%	69.77%
Net Profit	-32.86%	-	-	69.36%	29.40%	-	-14.35%	-	-	-	203.64%	102.93%	259.96%	-	129.15%	54.60%	49.24%	69.83%
Per Share																		
Shares Outstanding(thousands)	385,941	385,979	385,979	385,979	385,979	385,979	385,979	385,979	385,979	385,979	385,979	385,979	385,979	385,979	385,979	385,979	385,979	385,979
Fully Diluted	397,677	452,606	452,606	452,606	452,606	452,606	452,606	452,606	452,606	452,606	452,606	452,606	452,606	452,606	452,606	452,606	452,606	452,606
EPS (JPY)	139.8	-129.7	-410.4	132.2	223.9	289.8	7.7	19.0	11.7	-448.8	23.3	38.7	42.0	28.2	53.5	59.8	62.7	48.0
Fully Diluted	135.7	-110.5	-350.0	112.8	191.0	247.1	6.8	16.2	10.0	-362.8	19.9	33.0	35.8	24.1	45.6	51.0	53.5	40.9
DPS	336.6	86.4	-262.7	236.3	345.8	428.8	41.7	55.3	49.0	-468.8	46.2	63.6	69.1	57.4	80.0	89.0	94.5	62.3
Fully Diluted	316.9	73.7	-224.0	201.5	294.9	365.7	35.6	47.2	41.8	-348.6	39.4	54.3	58.9	48.9	68.3	75.9	80.6	70.2
BPS (JPY)	2,507	2,303	1,964	2,044	2,205	2,411	2,283	2,342	2,398	1,964	2,006	-	-	-	-	-	-	-
DPS (JPY)	50	50	50	50	50	80	-	-	-	-	-	-	-	-	-	-	-	-
DOE	1.99%	2.17%	2.55%	2.49%	2.72%	3.32%	-	-	-	-	-	-	-	-	-	-	-	-
Dividend Payout Ratio	35.76%	-38.55%	-12.18%	37.81%	26.79%	27.61%	-	-	-	-	-	-	-	-	-	-	-	-
R&D	44,423	57,245	48,603	43,574	46,000	48,000	11,485	11,326	10,611	13,201	10,274	11,100	11,100	11,100	11,500	11,500	11,500	11,500
% to Sales	9.50%	12.76%	9.89%	7.75%	7.47%	7.13%	9.87%	8.85%	8.47%	11.83%	7.57%	7.72%	7.62%	8.12%	7.66%	7.36%	7.20%	7.66%
Depreciation	72,069	83,418	57,024	40,151	47,048	53,648	13,137	14,011	14,414	15,462	8,831	9,640	10,440	11,240	10,262	11,262	12,262	13,262
% to Sales	15.41%	18.60%	11.85%	7.14%	7.64%	7.97%	11.31%	10.94%	11.50%	13.85%	6.51%	6.70%	7.16%	8.22%	6.83%	7.21%	7.68%	8.83%
CAPEX	186,755	133,017	82,403	63,084	70,400	70,400	31,114	20,803	11,423	19,063	13,284	16,600	16,600	16,600	17,600	17,600	17,600	17,600
% to Sales	39.92%	29.66%	17.13%	11.23%	11.43%	10.46%	26.78%	16.25%	9.12%	17.68%	9.79%	11.54%	11.39%	12.15%	11.72%	11.27%	11.03%	11.72%
EBITDA	115,396	43,357	67,888	104,026	162,787	205,895	13,332	21,469	16,464	16,623	18,466	29,018	31,665	24,877	37,802	42,320	44,892	37,773
yoY % chg.	-22.27%	-62.43%	56.58%	53.23%	56.49%	26.36%	-36.62%	17.25%	46.35%	-	38.51%	35.16%	92.33%	49.65%	104.71%	45.84%	41.77%	51.84%
qoq % chg.	-	-	-	-	-	-	-	-	-	0.97%	11.09%	57.14%	9.12%	-21.44%	51.95%	11.95%	6.08%	-15.96%
as a % of sales	24.67%	9.67%	14.11%	18.51%	26.42%	30.55%	11.47%	16.77%	13.14%	14.89%	13.60%	20.17%	21.73%	18.20%	25.17%	27.09%	28.12%	25.16%
Cashflow	126,034	33,353	-101,400	91,190	133,485	165,501	16,103	21,363	18,918	-157,764	17,837	24,559	26,652	22,141	30,895	34,358	36,458	31,775
yoY % chg.	-7.68%	-73.54%	-	-	46.38%	23.98%	-30.67%	11.50%	-2.21%	-	10.77%	14.96%	40.88%	-	73.21%	39.90%	36.79%	43.51%
qoq % chg.	-	-	-	-	-	-	-	-	-	-	37.69%	8.52%	-16.93%	-	39.54%	11.21%	6.11%	-12.84%
as a % of sales	26.94%	7.44%	-21.07%	16.23%	21.67%	24.58%	13.86%	16.69%	15.10%	-141.34%	13.14%	17.07%	18.29%	16.20%	20.57%	22.00%	22.84%	21.16%
Free Cashflow	-60,721	-99,664	-163,803	28,108	63,085	95,101	-15,011	560	7,495	-176,547	4,553	7,959	10,052	5,541	13,295	16,758	18,858	14,175
yoY % chg.	-	-	-	-	124.46%	50.75%	-	-	-	-	-1321.32%	34.12%	-	-	192.00%	110.54%	87.59%	155.83%
qoq % chg.	-	-	-	-	-	-	-	-	-	-	-74.82%	26.30%	-44.88%	-	139.94%	26.05%	12.53%	-24.83%
as a % of sales	-12.98%	-22.22%	-38.20%	5.00%	10.24%	14.12%	-12.92%	0.44%	5.98%	-158.42%	3.35%	5.53%	6.90%	4.05%	8.86%	10.73%	11.81%	9.44%

Source: Company data, J.P. Morgan estimates.

Figure 9: Balance Sheet

FY JPY mn	FY3/2017	FY3/2018	FY3/2019	FY3/2020	FY3/2021	FY3/2022	FY3/2023	FY3/2024	FY3/2025	FY3/2026	FY3/2027E	FY3/2028E	FY3/2029E	FY3/2026 1Q	2Q	3Q	4Q	FY3/2027 1Q
Assets																		
Cash and Cash Equivalents	307,498	305,821	289,745	315,723	319,430	342,400	329,247	244,575	248,602	434,193	521,074	551,278	595,932	213,351	308,228	312,468	434,193	468,901
Accounts Receivable	81,291	90,244	89,785	80,315	92,215	108,746	109,693	95,724	80,577	84,675	98,903	108,429	118,498	87,670	93,585	91,445	84,675	101,525
Inventories	86,696	98,288	120,967	111,721	128,759	154,488	195,484	223,670	203,457	202,307	215,948	214,991	224,336	201,924	200,031	196,791	202,307	201,842
Uncollected Refundable Corporate Taxes	4,437	205	481	488	4,013	1,026	1,884	8,043	3,534	1,822	1,822	1,822	1,822	3,474	1,004	486	1,822	2,383
Other Current Assets	6,989	9,624	10,024	9,641	11,406	13,344	17,671	20,735	25,075	27,140	27,140	27,140	27,140	23,961	21,324	27,109	27,140	29,075
Total Current Assets	495,958	504,182	511,002	517,888	555,823	620,004	653,979	592,747	561,245	750,137	864,886	903,660	967,728	529,980	624,172	628,299	750,137	803,728
Tangible Fixed Assets	231,270	240,227	251,645	243,784	247,367	292,090	363,771	478,330	491,305	325,819	348,752	372,104	388,856	503,596	512,421	517,755	325,819	328,006
Investments and Other Assets	107,275	119,693	111,780	87,201	123,050	117,036	105,533	410,197	388,215	207,603	102,603	102,603	102,603	392,596	302,568	303,889	207,603	166,470
Investments	81,764	95,295	88,363	66,917	96,429	86,214	78,738	375,409	352,899	159,400	54,400	54,400	54,400	354,326	264,572	266,404	159,400	117,450
Asset for retirement benefits	1,435	2,073	1,772	1,340	3,010	3,176	1,875	3,110	4,443	6,866	6,866	6,866	6,866	4,532	4,606	4,670	6,866	6,942
Deferred Tax Assets	2,685	5,974	6,717	4,862	8,156	11,310	7,663	10,210	12,557	27,622	27,622	27,622	27,622	13,380	13,684	13,876	27,622	24,008
Intangible Assets	10,513	5,410	4,097	4,599	6,845	5,266	5,722	8,258	6,369	4,790	4,790	4,790	4,790	7,556	7,003	6,504	4,790	8,051
Goodwill	5,355	-	-	1,391	1,093	795	497	198	-	-	-	-	-	-	-	-	-	-
Other non current asset	5,523	10,911	10,831	8,092	7,717	8,277	11,038	13,012	11,947	8,925	8,925	8,925	8,925	12,802	12,703	12,435	8,925	10,019
Total Non Current Assets	338,545	359,890	363,425	330,985	370,417	409,128	469,304	888,527	879,520	533,422	451,355	474,707	491,459	896,192	814,989	821,644	533,422	494,476
Total Assets	834,503	864,072	874,427	848,873	926,240	1,029,132	1,123,283	1,481,274	1,440,765	1,283,559	1,316,241	1,378,367	1,459,187	1,426,172	1,439,161	1,449,943	1,283,559	1,298,202
Liabilities and Equity																		
Accounts Payable	20,850	18,691	16,125	14,862	17,912	23,034	20,269	20,000	22,804	26,583	28,375	28,250	29,478	26,697	25,691	24,621	26,583	36,932
Short-term debt	0	0	0	0	0	0	0	340,136	100,000	100,000	100,000	100,000	100,000	100,000	100,000	100,000	100,000	100,000
Accrued Expenses	22,382	25,936	26,453	20,803	23,778	36,131	54,086	66,639	63,602	39,390	39,390	39,390	39,390	51,951	31,082	25,239	39,390	24,308
Accrued Taxes	3,790	10,423	8,137	3,990	3,671	11,472	21,353	5,150	2,235	3,884	3,884	3,884	3,884	2,898	4,176	4,648	3,884	3,504
Other Non Current Financial Liabilities	22,028	23,005	25,459	22,712	28,018	35,240	36,199	34,091	30,982	28,165	28,165	28,165	28,165	31,982	40,076	33,419	28,165	27,979
Total Current Liabilities	69,050	78,055	76,174	62,367	73,739	105,877	131,907	466,016	219,623	198,022	199,814	199,689	200,917	213,528	201,025	187,927	198,022	192,723
LT Debts	0	0	0	40,935	40,735	40,536	40,336	0	300,000	300,000	300,000	300,000	300,000	300,000	300,000	300,000	300,000	300,000
Deferred Tax Liabilities	28,195	21,735	19,964	17,430	28,149	28,983	22,539	30,540	15,996	13,408	13,408	13,408	13,408	15,814	18,450	19,867	13,408	14,932
Retirement Benefit Liabilities	10,693	10,136	10,688	10,908	11,198	11,092	10,819	12,185	12,790	10,083	10,083	10,083	10,083	10,333	10,724	11,219	10,083	10,232
Other Non Current Financial Liabilities	1,113	2,269	847	1,754	3,289	2,291	2,217	4,431	2,701	3,430	3,430	3,430	3,430	4,541	4,540	4,768	3,430	5,523
Total Non Current Liabilities	40,001	34,140	31,499	71,027	83,371	82,902	75,911	47,156	331,487	326,921	326,921	326,921	326,921	330,688	333,714	335,854	326,921	330,687
Minority Interests	466	452	487	488	518	536	552	630	621	651	690	730	770	619	624	649	651	664
Capital Stock	86,969	86,969	86,969	86,969	86,969	86,969	86,969	86,969	86,969	86,969	86,969	86,969	86,969	86,969	86,969	86,969	86,969	86,969
Capital Surplus	102,403	102,403	102,403	102,403	102,403	102,411	102,416	102,433	102,403	102,403	102,403	102,403	102,403	102,403	102,403	102,403	102,403	102,403
Retained Earnings	604,057	620,151	634,606	644,563	609,280	661,386	721,151	755,652	667,387	489,636	520,487	582,698	662,250	660,704	668,030	662,883	489,636	488,991
Treasury Shares	-47,777	-47,768	-47,430	-88,726	-39,547	-39,515	-39,880	-59,857	-40,836	-40,708	-40,708	-40,708	-40,708	-40,824	-40,707	-40,708	-40,708	-40,700
Other Equity	-20,666	-10,310	-10,281	-30,218	10,267	28,966	44,257	82,275	73,111	119,665	119,665	119,665	119,665	72,085	87,103	113,966	119,665	136,465
Shareholder's Equity	724,986	751,425	766,267	714,991	768,972	839,817	914,913	967,472	889,034	757,965	788,816	851,027	930,579	881,337	903,798	925,513	757,965	774,128
Total Liabilities and Equity	834,503	864,072	874,427	848,873	926,240	1,029,132	1,123,283	1,481,274	1,440,765	1,283,559	1,316,241	1,378,367	1,459,187	1,426,172	1,439,161	1,449,943	1,283,559	1,298,202
Efficiency Analysis																		
Total Asset Turnover	0.43	0.47	0.46	0.42	0.41	0.46	0.47	0.36	0.31	0.35	0.43	0.46	0.47	0.32	0.36	0.35	0.33	0.42
Turnover Period (Months)	850	781	795	867	900	789	773	1,016	1,189	1,033	844	798	769	1,126	1,021	1,052	1,117	868
Tangible Fixed Asset Turnover	1.51	1.68	1.62	1.46	1.47	1.68	1.55	1.11	0.93	1.18	1.67	1.71	1.77	0.93	1.01	0.97	1.06	1.66
Turnover Period (Months)	242	217	225	249	249	218	236	329	395	310	219	214	206	391	362	375	345	220
Accounts Receivable Turnover	4.65	4.63	4.43	4.27	4.17	4.50	4.65	4.55	5.09	5.82	6.12	5.94	5.93	5.53	5.65	5.42	5.07	5.83
Turnover Period (Months)	79	79	82	86	87	81	78	80	72	63	60	61	62	66	65	67	72	63
Inventory Turnover	2.70	2.73	2.32	2.16	2.01	2.05	1.80	1.54	1.75	1.80	1.87	1.80	1.85	1.78	1.90	1.98	1.84	2.00
Turnover Period (Months)	135	134	157	169	181	178	203	237	208	202	195	202	198	205	192	184	223	182
Inventory Turnover (Sales-Based)	4.04	3.81	3.62	3.43	3.02	2.54	2.58	2.42	2.19	2.21	2.30	2.61	2.80	2.05	2.31	2.58	2.51	2.21
Turnover Period (Days)	90	96	101	106	121	144	141	151	167	165	159	140	130	178	158	141	145	165
Accounts Payable Turnover	6.05	6.39	7.32	8.10	7.39	7.08	7.26	8.00	8.74	7.41	7.11	6.87	7.03	7.31	7.28	7.82	6.39	6.37
Turnover Period (Months)	60	57	50	45	49	52	50	46	42	49	51	53	52	50	50	47	57	57
Liquidity Turnover Ratio	1.17	1.29	1.34	1.20	1.13	1.37	1.51	1.63	1.82	1.41	1.18	1.15	1.17	2.01	1.96	1.61	1.20	1.20
Turnover Period (Months)	313	282	272	304	322	267	241	224	201	259	310	318	311	181	186	226	305	304
Investment Securities Turnover	4.83	4.49	4.34	4.67	4.41	4.90	6.08	2.06	1.23	1.88	5.26	11.33	12.38	1.32	1.65	1.89	2.10	3.94
Turnover Period (Months)	75	81	84	78	83	75	60	177	296	194	69	32	29	277	221	193	173	93
ROE	3.69%	5.05%	5.99%	3.46%	4.99%	8.31%	9.16%	5.73%	-5.39%	-19.24%	6.80%	10.54%	12.56%	35.31%	35.61%	35.71%	25.38%	25.27%
Financial Leverage	1.15	1.15	1.14	1.19	1.20	1.23	1.23	1.53	1.62	1.69	1.67	1.62	1.57	14.97%	13.97%	12.96%	15.43%	14.85%
Debt to Asset Ratio	0.15	0.15	0.14	0.19	0.20	0.22	0.23	0.53	0.62	0.69	0.67	0.62	0.57	18.64%	91.772	87.532	-34.193	-68.901
Debt Ratio	0.15	0.15	0.14	0.19	0.20	0.23	0.23	0.53	0.62	0.69	0.67	0.62	0.57	-167.677	-171.800	-178.872	-193.593	-186.351
Net Debt to Equity	-0.42	-0.41	-0.38	-0.38	-0.36	-0.36	-0.32	0.10	0.17	-0.05	-0.15	-0.18	-0.21	22.405	22.299	22.099	21.756	-
Interest Coverage Ratio</																		

Figure 10: Cash Flow Statement

FY	FY3/2017	FY3/2018	FY3/2019	FY3/2020	FY3/2021	FY3/2022	FY3/2023	FY3/2024	FY3/2025	FY3/2026	FY3/2027E	FY3/2028E	FY3/2029E
JPY mn													
Net Income	26,432	37,249	45,441	25,632	37,002	66,827	80,375	53,965	-50,065	-158,424	51,039	86,437	111,853
Minority Interest	17	16	26	23	31	30	27	42	24	29	39	40	40
Depreciation	40,801	43,407	45,415	44,328	40,167	42,027	56,140	72,069	83,418	57,024	40,151	47,048	53,648
Change in Working Capital	-7,311	-22,704	-24,786	17,453	-25,888	-37,138	-44,708	-14,486	38,164	831	-26,076	-8,696	-18,185
Change in Other Current Assets	2,716	21,808	9	-12,168	2,672	28,425	23,610	-14,981	-8,892	-25,733	0	0	0
CAPEX	-42,182	-55,911	-57,291	-38,941	-44,114	-79,985	-126,116	-186,755	-133,017	-82,403	-63,084	-70,400	-70,400
Change in Investments	-17,914	-13,531	6,932	21,446	-29,512	8,215	9,476	-296,671	22,510	193,499	105,000	0	0
Change in Intangible assets	1,600	10,458	1,313	-1,893	-1,748	1,677	-158	-2,237	2,087	1,579	0	0	0
Change in Other Fixed Assets	7,768	-14,538	-3,304	3,187	9,625	-3,984	-5,905	7,060	-16,951	-16,609	0	0	0
FCF	11,927	6,254	13,755	59,067	-11,765	26,094	-7,259	-381,994	-62,722	-30,207	107,069	54,430	76,955
Change in Interest Bearing Debt	0	0	0	40,935	-200	-199	-200	299,800	59,864	0	0	0	0
Dividends	-13,751	-25,386	-15,676	-14,924	-14,720	-18,156	-19,629	-19,297	-19,299	-19,299	-20,188	-24,226	-32,301
Treasury Stock	19,371	-11	358	-41,296	48,779	32	35	-19,977	19,021	128	0	0	0
CF from Other Financial Activities	-12,841	14,587	-15,281	-20,688	-17,080	22,142	14,315	37,868	-28,095	46,526	0	0	0
CF	4,706	-4,556	-16,844	23,094	5,014	29,913	-12,738	-83,600	-31,231	-2,852	86,881	30,204	44,655
Cash and Cash Equivalents	307,498	305,821	289,745	315,723	319,430	342,400	329,247	244,575	248,602	434,193	521,074	551,278	595,932
Key financial index													
ROE	3.69%	5.05%	5.99%	3.46%	4.99%	8.31%	9.16%	5.73%	-5.39%	-19.24%	6.60%	10.54%	12.56%
ROA	3.23%	4.39%	5.23%	2.97%	4.17%	6.84%	7.47%	4.14%	-3.43%	-11.63%	3.93%	6.42%	7.88%
Total Asset Turnover	0.43	0.47	0.46	0.42	0.41	0.46	0.47	0.36	0.31	0.35	0.43	0.46	0.47
Equity Ratio	86.88%	86.96%	87.63%	84.23%	83.02%	81.60%	81.45%	65.31%	61.71%	59.05%	59.93%	61.74%	63.77%
DuPont System													
ROE	3.69%	5.05%	5.99%	3.46%	4.99%	8.31%	9.16%	5.73%	-5.39%	-19.24%	6.60%	10.54%	12.56%
Net Profit Margin	7.51%	9.38%	11.39%	7.06%	10.28%	14.78%	15.83%	11.54%	-11.16%	-32.93%	9.08%	14.03%	16.61%
Total Asset Turnover	0.43	0.47	0.46	0.42	0.41	0.46	0.47	0.36	0.31	0.35	0.43	0.46	0.47
Financial Leverage Ratio	1.15	1.15	1.14	1.19	1.20	1.23	1.23	1.53	1.62	1.69	1.67	1.62	1.57

Source: Company data, J.P. Morgan estimates.

Investment Thesis, Valuation and Risks

Rohm (6963) *(Overweight; Price Target: ¥8,000)*

Investment Thesis

There are growing signs of a supply/demand squeeze for analog and discrete semiconductors (particularly Si-MOSFETs), mainly on the back of rising analog and discrete semiconductor demand for AI server applications and market recovery for industrial machinery applications, and we think Rohm will likely benefit from these improving market conditions, too. We are also watching for an increase in the value of Rohm's Toshiba shareholdings, driven by a rise in Kioxia's share price, and the growth potential inherent in the Si-MOSFET business through integration with Toshiba's semiconductor business.

Valuation

Our price target through December 2027 is ¥8,000, calculated by adding the ¥4,000 per share after-tax value of Rohm's Toshiba shareholdings to the ¥4,000 per share figure derived from our ROIC model ($EV/IC = ROIC/WACC$) using our FY2028 estimates and assuming zero growth ($R_f = 2.57\%$, $R_p = 5.15\%$, $\beta = 1.0$, $WACC = 7.15\%$).

Our analysis shows that Rohm holds just under 15% of Toshiba's shares. Toshiba's market capitalization works out at about ¥8.5 trillion assuming its company-wide ROS (operating margin) recovers to its target of 12% in FY3/27 (operating profit of ¥540 billion and net profit of about ¥380 billion based on a 30% tax rate) and using the industrial electronics sector's average P/E of about 23x based on the Bloomberg consensus estimate for FY3/27 (as of September 25). Furthermore, Toshiba currently holds around 12.8% of Kioxia Holdings' shares (as of September 25), while Kioxia's market cap is around ¥71 trillion based on our ¥130,000 price target, and Toshiba's stake in Kioxia thus amounts to ¥9.1 trillion. We estimate the value of Toshiba shares including Kioxia stock at approximately ¥17.6 trillion, which works out at a value of ¥2.5 trillion for Rohm's Toshiba shareholding, or about ¥1.8 trillion after tax (¥4,000 per share).

ROIC Valuations

FY	FY3/2016	FY3/2017	FY3/2018	FY3/2019	FY3/2020	FY3/2021	FY3/2022	FY3/2023	FY3/2024	FY3/2025	FY3/2026	FY3/2027E	FY3/2028E	FY3/2029E
JPY mn														
NOPAT	29,699	29,242	48,759	45,586	23,786	37,103	58,605	71,348	38,166	-27,264	16,836	52,442	87,737	113,153
yoy % chg.	-	-1.54%	66.74%	-6.51%	-47.82%	55.99%	57.95%	21.74%	-46.51%	-	-	211.48%	67.30%	28.97%
Invested Capital	719,324	741,915	767,638	780,001	768,982	830,218	898,562	970,677	1,328,568	1,293,094	1,144,402	1,175,292	1,237,543	1,317,135
yoy % chg.	-	3.14%	3.47%	1.61%	-1.41%	7.96%	8.23%	8.03%	36.87%	-2.67%	-11.50%	2.70%	5.30%	6.43%
ROIC	4.13%	4.00%	6.46%	5.89%	3.07%	4.64%	6.78%	7.63%	3.32%	-2.08%	1.38%	4.52%	7.27%	8.86%
WACC	8.08%	7.95%	8.07%	8.91%	9.43%	9.39%	6.12%	7.27%	7.90%	5.87%	5.24%	7.15%	7.15%	7.15%
ROIC/WACC	-3.95%	-3.95%	-1.61%	-3.02%	-6.36%	-4.75%	0.66%	0.36%	-4.58%	-7.95%	-3.86%	-2.63%	0.12%	1.71%
EV	341,069	210,170	650,771	516,322	467,609	485,906	651,740	659,546	850,225	604,823	763,143	1,993,413	1,963,209	1,918,554
MV	701,322	599,432	1,051,887	894,430	809,314	861,030	1,041,818	1,027,195	1,130,073	806,324	956,736	2,168,887	2,168,887	2,168,887
EV/MV	0.47	0.28	0.85	0.66	0.61	0.59	0.73	0.68	0.64	0.47	0.67	1.70	1.59	1.46
Theoretical Enterprise Value	367,677	373,287	614,412	515,705	250,500	410,297	995,313	1,019,186	558,155	-457,801	301,655	743,022	1,258,418	1,631,427
ΔTheoretical Enterprise Value	-	5,610	241,126	-98,708	-265,204	159,796	585,017	23,873	-461,031	-1,015,956	759,456	441,367	515,397	373,008
ΔIC	-	22,591	25,723	12,363	-11,019	61,236	68,344	72,115	357,891	-35,474	-148,692	30,890	62,252	79,592
ΔEVA/WACC	-	-16,981	215,403	-111,071	-254,185	98,560	516,673	-48,242	-818,922	-980,482	908,148	410,477	453,145	293,416
Total	-	5,610	241,126	-98,708	-265,204	159,796	585,017	23,873	-461,031	-1,015,956	759,456	441,367	515,397	373,008
Theoretical Market Capitalization	664,080	680,785	920,233	805,450	525,288	688,932	1,297,177	1,308,097	462,594	-658,139	335,848	864,036	1,409,636	1,827,359
Valuation per share (JPY)	1,600	1,600	2,200	1,900	1,300	1,700	3,200	3,200	1,200	-1,300	700	1,900	3,100	4,000
yoy % chg.	-	0.00%	37.50%	-13.64%	-31.58%	30.77%	88.24%	0.00%	-62.50%	-208.33%	-153.85%	171.43%	63.16%	29.03%
Upside from actual stock price	-3.47%	12.93%	-11.51%	-11.20%	-34.16%	-20.15%	24.22%	26.00%	-57.77%	-172.97%	-66.88%	-60.35%	-35.31%	-16.53%
Implied P/E (x)	26.36	25.61	24.99	17.48	20.79	18.58	19.37	16.10	8.84	11.75	-2.00	16.85	16.23	16.19
Implied EV/EBITDA (x)	5.11	5.14	6.12	5.09	3.39	5.22	8.77	6.87	4.84	-10.56	4.44	7.14	7.73	7.93
Implied PBR (x)	0.94	0.94	1.22	1.05	0.73	0.90	1.54	1.43	0.48	-0.69	0.44	1.10	1.66	1.96

Source: Company data, Bloomberg Finance L.P., J.P. Morgan estimates

Note: Market capitalization as of Sep 25. Implied P/E is on a fully diluted basis.

Risks to Rating and Price Target Upside Scenario to Target Price/Rating

- Analog and discrete semiconductor supply/demand squeeze and price hikes
- Yen depreciation
- Integration with Toshiba's semiconductor business

Downside Scenario to Target Price/Rating

- Delays in restructuring
- Decline in Toshiba's share price
- Delayed recovery in the semiconductor cycle
- AI cycle
- Yen appreciation

Rohm (6963): Summary of Financials

Income Statement					Cash Flow Statement				
	2026/3A	2027/3E	2028/3E	2029/3E		2026/3A	2027/3E	2028/3E	2029/3E
Revenue	481,148.0	561,994.3	616,127.9	673,338.3	Cash flow from operating activities	(142,882)	65,153	124,830	147,355
COGS	(365,921)	(390,594)	(388,863)	(405,766)	o/w Depreciation & amortization	57,024	40,151	47,048	53,648
Gross profit	115,227	171,401	227,265	267,573	o/w Changes in working capital	831	(26,076)	(8,696)	(18,185)
SG&A	(104,363)	(107,526)	(111,526)	(115,526)	Cash flow from investing activities	112,675	41,916	(70,400)	(70,400)
EBITDA	67,888	104,026	162,787	205,695	o/w Capital expenditure	(82,403)	(63,084)	(70,400)	(70,400)
D&A	(57,024)	(40,151)	(47,048)	(53,648)	as % of sales	17.1%	11.2%	11.4%	10.5%
EBIT	10,864.0	63,874.7	115,738.9	152,046.7	Cash flow from financing activities	27,355	(20,188)	(24,226)	(32,301)
Net Interest	6,935	6,832	6,800	6,800	o/w Dividends paid	(19,299)	(20,188)	(24,226)	(32,301)
PBT	(170,902)	71,415	123,539	159,847	o/w Shares issued/(repurchased)	0	0	0	0
Tax	12,506	(20,336)	(37,062)	(47,954)	o/w Net debt issued/(repaid)	0	0	0	0
Minority Interest	(29)	(39)	(40)	(40)	Net change in cash	(2,852)	86,881	30,204	44,655
Net Income	(158,424)	51,039	86,437	111,853	Adj. Free cash flow to firm	(232,727)	(2,818)	49,670	72,195
Reported EPS	-350.0	112.8	191.0	247.1	y/y Growth	138.9%	-98.8%	-1862.7%	45.4%
DPS	50.00	50.00	60.00	80.00					
Payout ratio	NM	44.3%	31.4%	32.4%					
Shares outstanding	386	386	386	386					

Balance Sheet					Ratio Analysis				
	2026/3A	2027/3E	2028/3E	2029/3E		2026/3A	2027/3E	2028/3E	2029/3E
Cash and cash equivalents	434,193.0	521,073.7	551,277.7	595,932.3	Gross margin	23.9%	30.5%	36.9%	39.7%
Accounts receivable	84,675	98,903	108,429	118,498	EBITDA margin	14.1%	18.5%	26.4%	30.5%
Inventories	202,307	215,948	214,991	224,336	EBIT margin	2.3%	11.4%	18.8%	22.6%
Other current assets	315,944	343,812	352,382	371,796	Net profit margin	-32.9%	9.1%	14.0%	16.6%
Current assets	750,137	864,886	903,660	967,728	ROE	-19.2%	6.6%	10.5%	12.6%
PP&E	325,819	348,752	372,104	388,856	ROA	-11.6%	3.9%	6.4%	7.9%
LT investments	-	-	-	-	ROCE	1.0%	3.9%	6.6%	8.2%
Other non current assets	207,603	102,603	102,603	102,603	SG&A/Sales	21.7%	19.1%	18.1%	17.2%
Total assets	1,283,559	1,316,241	1,378,367	1,459,187	Net debt/Equity	NM	NM	NM	NM
Short term borrowings	100,000	100,000	100,000	100,000	Net debt/EBITDA	NM	NM	NM	NM
Payables	26,583	28,375	28,250	29,478	Sales/Assets (x)	0.4	0.4	0.5	0.5
Other short term liabilities	71,439	71,439	71,439	71,439	Assets/Equity (x)	1.7	1.7	1.6	1.6
Current liabilities	198,022	199,814	199,689	200,917	Interest cover (x)	NM	NM	NM	NM
Long-term debt	300,000	300,000	300,000	300,000	Operating leverage	-1744.3%	2904.0%	843.0%	337.8%
Other long term liabilities	303,430	303,430	303,430	303,430	Tax rate	-7.3%	28.5%	30.0%	30.0%
Total liabilities	524,943	526,735	526,610	527,838	Revenue y/y Growth	7.3%	16.8%	9.6%	9.3%
Shareholders' equity	757,965.0	788,815.8	851,027.4	930,579.3	EBITDA y/y Growth	56.6%	53.2%	56.5%	26.4%
Minority interests	651	690	730	770	EPS y/y growth	216.4%	-132.2%	69.4%	29.4%
Total liabilities & equity	1,283,559	1,316,241	1,378,367	1,459,187					

Valuation					2026/3A	2027/3E	2028/3E	2029/3E	
BVPS	1963.7	2043.7	2204.9	2411.0	P/E (x)	NM	42.9	25.3	19.6
y/y Growth	-14.7%	4.1%	7.9%	9.3%	P/BV (x)	2.5	2.4	2.2	2.0
Net debt/(cash)	(34,193)	(121,074)	(151,278)	(195,932)	EV/EBITDA (x)	11.2	19.2	12.1	9.3
					Dividend Yield	1.0%	1.0%	1.2%	1.7%

Source: Company reports and J.P. Morgan estimates.

Note: ¥ in millions (except per-share data). Fiscal year ends Mar. o/w - out of which

Analyst Certification: The Research Analyst(s) denoted by an “AC” on the cover of this report certifies (or, where multiple Research Analysts are primarily responsible for this report, the Research Analyst denoted by an “AC” on the cover or within the document individually certifies, with respect to each security or issuer that the Research Analyst covers in this research) that: (1) all of the views expressed in this report accurately reflect the Research Analyst’s personal views about any and all of the subject securities or issuers; and (2) no part of any of the Research Analyst’s compensation was, is, or will be directly or indirectly related to the specific recommendations or views expressed by the Research Analyst(s) in this report. For all Korea-based Research Analysts listed on the front cover, if applicable, they also certify, as per KOFIA requirements, that the Research Analyst’s analysis was made in good faith and that the views reflect the Research Analyst’s own opinion, without undue influence or intervention.

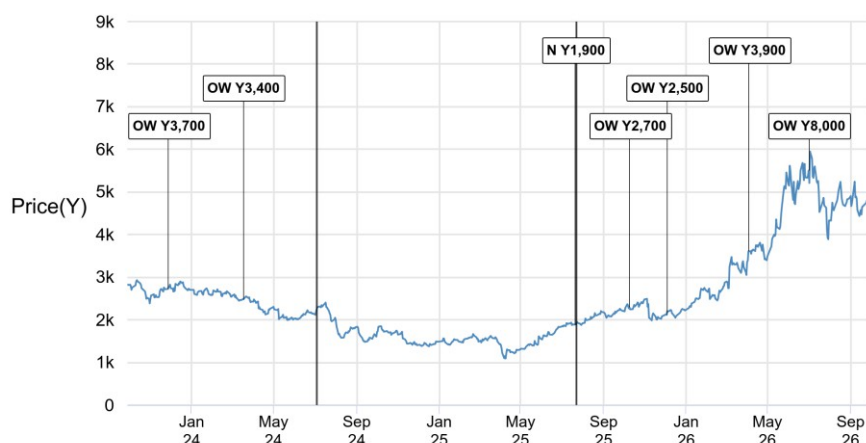
All authors named within this report are Research Analysts who produce independent research unless otherwise specified. In Europe, Sector Specialists (Sales and Trading) may be shown on this report as contacts but are not authors of the report or part of the Research Department.

Important Disclosures

- **Market Maker/ Liquidity Provider:** J.P. Morgan is a market maker and/or liquidity provider in the financial instruments of/related to Rohm (6963) or related entities.
- **Client:** J.P. Morgan currently has, or had within the past 12 months, the following entity(ies) as clients: Rohm (6963) or related entities.
- **Client/Non-Investment Banking, Securities-Related:** J.P. Morgan currently has, or had within the past 12 months, the following entity(ies) as clients, and the services provided were non-investment-banking, securities-related: Rohm (6963) or related entities.
- **Client/Non-Securities-Related:** J.P. Morgan currently has, or had within the past 12 months, the following entity(ies) as clients, and the services provided were non-securities-related: Rohm (6963) or related entities.
- **Potential Investment Banking Compensation:** J.P. Morgan expects to receive, or intends to seek, compensation for investment banking services in the next three months from Rohm (6963) or related entities.
- **Non-Investment Banking Compensation Received:** J.P. Morgan has received compensation in the past 12 months for products or services other than investment banking from Rohm (6963) or related entities.
- **Debt Position:** J.P. Morgan may hold a position in the debt securities of Rohm (6963) or related entities, if any.
- **Gartner:** All statements in this report attributable to Gartner represent J.P. Morgan’s interpretation of data, research opinion or viewpoints published as part of a syndicated subscription service by Gartner, Inc., and have not been reviewed by Gartner. Each Gartner publication speaks as of its original publication date (and not as of the date of this presentation or report). The opinions expressed in Gartner publications are not representations of fact and are subject to change without notice.

Company-Specific Disclosures: J.P. Morgan does and seeks to do business with companies covered in its research reports. As a result, investors should be aware that the firm may have a conflict of interest that could affect the objectivity of this report. Investors should consider this report as only a single factor in making their investment decision. Important disclosures, including price charts and credit opinion history tables (if applicable), are available for compendium reports and all J.P. Morgan–covered companies, and certain non-covered companies, by visiting <https://www.jpmm.com/research/disclosures>, calling 1-800-477-0406, or e-mailing research.disclosure.inquiries@jpmorgan.com with your request.

Rohm (6963) (6963.T, 6963 JP) Price Chart



Date	Rating	Price (Y)	Price Target (Y)
28-Nov-23	OW	2725	3,700
18-Mar-24	OW	2472	3,400
22-Jul-25	N	1888	1,900
10-Oct-25	OW	2294	2,700
04-Dec-25	OW	2116	2,500
04-Apr-26	OW	3608	3,900
02-Jul-26	OW	5503	8,000

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Aug 12, 2001. All share prices are as of market close on the previous business day.
Break in coverage Jul 04, 2024 - Jul 22, 2025.

The chart(s) show J.P. Morgan's continuing coverage of the stocks; the current analysts may or may not have covered it over the entire period.
J.P. Morgan ratings or designations: OW = Overweight, N= Neutral, UW = Underweight, NR = Not Rated

Explanation of Equity Research Ratings, Designations and Analyst(s) Coverage Universe:

J.P. Morgan uses the following rating system: Overweight (over the duration of the price target indicated in this report, we expect this stock will outperform the average total return of the stocks in the Research Analyst's, or the Research Analyst's team's, coverage universe); Neutral (over the duration of the price target indicated in this report, we expect this stock will perform in line with the average total return of the stocks in the Research Analyst's, or the Research Analyst's team's, coverage universe); and Underweight (over the duration of the price target indicated in this report, we expect this stock will underperform the average total return of the stocks in the Research Analyst's, or the Research Analyst's team's, coverage universe). NR is Not Rated. In this case, J.P. Morgan has removed the rating and, if applicable, the price target, for this stock because of either a lack of a sufficient fundamental basis or for legal, regulatory or policy reasons. The previous rating and, if applicable, the price target, no longer should be relied upon. An NR designation is not a recommendation or a rating. Some stocks under coverage have a rating but no price target; in these cases, we expect the stock will outperform/perform in line/underperform the average total return of the stocks in the Research Analyst's, or the Research Analyst's team's, coverage universe of the relevant duration of the region. In our Asia (ex-Australia and ex-India) and U.K. small- and mid-cap Equity Research, each stock's expected total return is compared to the expected total return of a benchmark country market index, not to those Research Analysts' coverage universe. If it does not appear in the Important Disclosures section of this report, the certifying Research Analyst's coverage universe can be found on J.P. Morgan's Research website, <https://www.jpmorganmarkets.com>.

Coverage Universe: Kanemoto, Akinori : Alps Alpine (6770) (6770.T), Hirose Electric (6806) (6806.T), Ibiden (4062) (4062.T), Japan Aviation Electronics (6807) (6807.T), Kyocera (6971) (6971.T), MinebeaMitsumi (6479) (6479.T), Murata Manufacturing (6981) (6981.T), NISSHA (7915) (7915.T), Nichicon (6996) (6996.T), Nidec (6594) (6594.T), Nippon Chemi-Con (6997) (6997.T), Niterra (5334) (5334.T), Rohm (6963) (6963.T), TDK (6762) (6762.T), Taiyo Yuden (6976) (6976.T), Wacom (6727) (6727.T). **Ayada, Junya :** CASIO COMPUTER (6952) (6952.T), Canon (7751) (7751.T), Citizen Watch (7762) (7762.T), Fujitsu (6702) (6702.T), Hitachi (6501) (6501.T), Mitsubishi Electric (6503) (6503.T), NEC (6701) (6701.T), Panasonic Holdings (6752) (6752.T), Ricoh (7752) (7752.T), Seiko Epson (6724) (6724.T), Sharp (6753) (6753.T), Sony Group (6758) (6758.T), Yamaha (7951) (7951.T)

J.P. Morgan Equity Research Ratings Distribution, as of July 04, 2026

	Overweight (buy)	Neutral (hold)	Underweight (sell)
J.P. Morgan Global Equity Research Coverage*	53%	36%	12%
IB clients**	83%	80%	73%
JPMS Equity Research Coverage*	51%	37%	12%
IB clients**	95%	92%	87%

*Please note that the percentages may not add to 100% because of rounding.

**Percentage of subject companies within each of the "buy," "hold" and "sell" categories for which J.P. Morgan has provided investment banking services within the previous 12 months.

For purposes of FINRA ratings distribution rules only, our Overweight rating falls into a buy rating category; our Neutral rating falls into a hold rating category; and our Underweight rating falls into a sell rating category. Please note that stocks with an NR designation are not included in the table above. This information is current as of the end of the most recent calendar quarter.

Equity Valuation and Risks: For valuation methodology and risks associated with covered companies or price targets for covered companies,

please see the most recent company-specific research report at <http://www.jpmorganmarkets.com>, contact the primary analyst or your J.P. Morgan representative, or email research.disclosure.inquiries@jpmorgan.com. For material information about the proprietary models used, please see the Summary of Financials in company-specific research reports and the Company Tearsheets, which are available to download on the company pages of our client website, <http://www.jpmorganmarkets.com>. This report also sets out within it the material underlying assumptions used.

History of Investment Recommendations:

A history of J.P. Morgan investment recommendations disseminated during the preceding 12 months can be accessed on the Research & Commentary page of <http://www.jpmorganmarkets.com> where you can also search by analyst name, sector or financial instrument.

Analysts' Compensation: The research analysts responsible for the preparation of this report receive compensation based upon various factors, including the quality and accuracy of research, client feedback, competitive factors, and overall firm revenues.

Registration of non-US Analysts: Unless otherwise noted, the non-US analysts listed on the front of this report are employees of non-US affiliates of J.P. Morgan Securities LLC, may not be registered as research analysts under FINRA rules, may not be associated persons of J.P. Morgan Securities LLC, and may not be subject to FINRA Rule 2241 or 2242 restrictions on communications with covered companies, public appearances, and trading securities held by a research analyst account.

Other Disclosures

J.P. Morgan is a marketing name for investment banking businesses of JPMorgan Chase & Co. and its subsidiaries and affiliates worldwide.

UK MIFID FICC research unbundling exemption: UK clients should refer to [UK MIFID Research Unbundling exemption](#) for details of J.P. Morgan's implementation of the FICC research exemption and guidance on relevant FICC research categorisation.

All research material made available to clients are simultaneously available on our client website, J.P. Morgan Markets, unless specifically permitted by relevant laws. Not all research content is redistributed, e-mailed or made available to third-party aggregators. For all research material available on a particular stock, please contact your sales representative.

Any long form nomenclature for references to China; Hong Kong; Taiwan; and Macau within this research material are Mainland China; Hong Kong SAR (China); Taiwan (China); and Macau SAR (China).

J.P. Morgan Research may, from time to time, write on issuers or securities targeted by economic or financial sanctions imposed or administered by the governmental authorities of the U.S., EU, UK or other relevant jurisdictions (Sanctioned Securities). Nothing in this report is intended to be read or construed as encouraging, facilitating, promoting or otherwise approving investment or dealing in such Sanctioned Securities. Clients should be aware of their own legal and compliance obligations when making investment decisions.

Digital assets, which may also be referred to as virtual or crypto assets or crypto currencies (e.g. bitcoin), discussed in this research report are subject to a rapidly changing regulatory landscape. The application of relevant laws in respect of such assets may be unsettled, and the legality of any digital asset investment may be unclear. Prior to making any investment decision regarding any digital asset, investors should seek their own legal advice and be aware of any legal considerations regarding the purchase, holding or selling of such an investment. For relevant regulatory advisories on digital assets, including bitcoin and ethereum, please see <https://www.jpmorgan.com/disclosures/cryptoasset-disclosure>.

The author(s) of this research report may not be licensed to carry on regulated activities in your jurisdiction and, if not licensed, do not hold themselves out as being able to do so.

Exchange-Traded Funds (ETFs): J.P. Morgan Securities LLC ("JPMS") acts as authorized participant for substantially all U.S.-listed ETFs. To the extent that any ETFs are mentioned in this report, JPMS may earn commissions and transaction-based compensation in connection with the distribution of those ETF shares and may earn fees for performing other trade-related services, such as securities lending to short sellers of the ETF shares. JPMS may also perform services for the ETFs themselves, including acting as a broker or dealer to the ETFs. In addition, affiliates of JPMS may perform services for the ETFs, including trust, custodial, administration, lending, index calculation and/or maintenance and other services.

Options and Futures related research: If the information contained herein regards options- or futures-related research, such information is available only to persons who have received the proper options or futures risk disclosure documents. Please contact your J.P. Morgan Representative or visit <https://www.theocc.com/components/docs/riskstoc.pdf> for a copy of the Option Clearing Corporation's Characteristics and Risks of Standardized Options or https://www.finra.org/sites/default/files/2020-08/Security_Futures_Risk_Disclosure_Statement_2020.pdf for a copy of the Security Futures Risk Disclosure Statement.

Changes to Interbank Offered Rates (IBORs) and other benchmark rates: Certain interest rate benchmarks are, or may in the future become, subject to ongoing international, national and other regulatory guidance, reform and proposals for reform. For more information, please consult: https://www.jpmorgan.com/global/disclosures/interbank_offered_rates

Notification for Credit Ratings: If this material includes credit ratings, such credit ratings provided by Japan Credit Rating Agency, Ltd. (JCR)

and Rating and Investment Information, Inc. (R&I), are credit ratings provided by Registered Credit Rating Agencies (credit rating agencies registered under the Financial Instruments and Exchange Law of Japan (FIEL)). With respect to credit ratings that are provided by credit rating agencies other than JCR and R&I and have no stipulation that such credit ratings are provided by Registered Credit Rating Agencies, this means that such credit ratings are Non Registered Ratings (credit ratings provided by credit rating agencies not registered under the FIEL). Among the Non Registered Ratings, with respect to those credit ratings provided by S&P Global Ratings (S&P), Moody's Investors Service (Moody's), or Fitch Ratings (Fitch), prior to making investment decision based on such Non Registered Ratings, please carefully read the "Explanation Letter regarding Non Registered Ratings" for the corresponding credit rating agency, which we separately have sent or will send.

Private Bank Clients: Where you are receiving research as a client of the private banking businesses offered by JPMorgan Chase & Co. and its subsidiaries ("J.P. Morgan Private Bank"), research is provided to you by J.P. Morgan Private Bank and not by any other division of J.P. Morgan, including, but not limited to, the J.P. Morgan Corporate and Investment Bank and its Global Research division.

Legal entity responsible for the production and distribution of research: The legal entity identified below the name of the Reg AC Research Analyst who authored this material is the legal entity responsible for the production of this research. Where multiple Reg AC Research Analysts authored this material with different legal entities identified below their names, these legal entities are jointly responsible for the production of this research. Where more than one legal entity is listed under an analyst's name, the first legal entity is responsible for the production unless stated otherwise. Research Analysts from various J.P. Morgan affiliates may have contributed to the production of this material but may not be licensed to carry out regulated activities in your jurisdiction (and do not hold themselves out as being able to do so). Unless otherwise stated below in the legal entity disclosures, this material has been distributed by the legal entity responsible for production, or where more than one legal entity is listed under the analyst's name, the first legal entity will be responsible for distribution. If you have any queries, please contact the relevant Research Analyst in your jurisdiction or the entity in your jurisdiction that has distributed this research material.

Legal Entities Disclosures and Country-/Region-Specific Disclosures:

Argentina: JPMorgan Chase Bank N.A Sucursal Buenos Aires is regulated by Banco Central de la República Argentina ("BCRA"- Central Bank of Argentina) and Comisión Nacional de Valores ("CNV"- Argentinian Securities Commission - ALYC y AN Integral N°51).

Australia: J.P. Morgan Securities Australia Limited ("JPMSAL") (ABN 61 003 245 234/AFS Licence No: 238066) is regulated by the Australian Securities and Investments Commission and is a Market Participant of ASX Limited, a Clearing and Settlement Participant of ASX Clear Pty Limited and a Clearing Participant of ASX Clear (Futures) Pty Limited. This material is issued and distributed in Australia by or on behalf of JPMSAL only to "wholesale clients" (as defined in section 761G of the Corporations Act 2001). A list of all financial products covered can be found by visiting <https://www.jpmm.com/research/disclosures>. J.P. Morgan seeks to cover companies of relevance to the domestic and international investor base across all Global Industry Classification Standard (GICS) sectors, as well as across a range of market capitalisation sizes. If applicable, in the course of conducting public side due diligence on the subject company(ies), the Research Analyst team may at times perform such diligence through corporate engagements such as site visits, discussions with company representatives, management presentations, etc. Research issued by JPMSAL has been prepared in accordance with J.P. Morgan Australia's Research Independence Policy which can be found at the following link: [J.P. Morgan Australia - Research Independence Policy](#).

Brazil: Banco J.P. Morgan S.A. is regulated by the Comissao de Valores Mobiliarios (CVM) and by the Central Bank of Brazil. Ombudsman J.P. Morgan: 0800-7700847 / 0800-7700810 (For Hearing Impaired) / ouvidoria.jp.morgan@jpmchase.com.

Canada: J.P. Morgan Securities Canada Inc. is a registered investment dealer, regulated by the Canadian Investment Regulatory Organization and the Ontario Securities Commission and is the participating member on Canadian exchanges. This material is distributed in Canada by or on behalf of J.P.Morgan Securities Canada Inc.

Chile: Inversiones J.P. Morgan Limitada is an unregulated entity incorporated in Chile.

China: J.P. Morgan Securities (China) Company Limited has been approved by CSRC to conduct the securities investment consultancy business.

Colombia: Banco J.P. Morgan Colombia S.A. is supervised by the Superintendencia Financiera de Colombia (SFC). Any reference in this material to products or services offered abroad by entities other than the Bank in Colombia is included exclusively for descriptive purposes. Such references do not constitute, and should not be construed as, promotional activity or the provision of financial products or services within Colombian territory, as defined under applicable Colombian regulation.

Dubai International Financial Centre (DIFC): JPMorgan Chase Bank, N.A., Dubai Branch is regulated by the Dubai Financial Services Authority (DFSA) and its registered address is Dubai International Financial Centre - The Gate, West Wing, Level 3 and 9 PO Box 506551, Dubai, UAE. This material has been distributed by JP Morgan Chase Bank, N.A., Dubai Branch to persons regarded as professional clients or market counterparties as defined under the DFSA rules.

European Economic Area (EEA): Unless specified to the contrary, research is distributed in the EEA by J.P. Morgan SE ("JPM SE"), which is authorised as a credit institution by the Federal Financial Supervisory Authority (Bundesanstalt für Finanzdienstleistungsaufsicht, BaFin) and jointly supervised by the BaFin, the German Central Bank (Deutsche Bundesbank) and the European Central Bank (ECB). JPM SE is a company headquartered in Frankfurt with registered address at TaunusTurm, Taunustor 1, Frankfurt am Main, 60310, Germany. The material has been distributed in the EEA to persons regarded as professional investors (or equivalent) pursuant to Art. 4 para. 1 no. 10 and Annex II of MiFID II and its respective implementation in their home jurisdictions ("EEA professional investors"). This material must not be acted on or relied on by persons who are not EEA professional investors. Any investment or investment activity to which this material relates is only

available to EEA relevant persons and will be engaged in only with EEA relevant persons.

Hong Kong: J.P. Morgan Securities (Asia Pacific) Limited (CE number AAJ321) is regulated by the Hong Kong Monetary Authority and the Securities and Futures Commission in Hong Kong, and J.P. Morgan Broking (Hong Kong) Limited (CE number AAB027) is regulated by the Securities and Futures Commission in Hong Kong. JP Morgan Chase Bank, N.A., Hong Kong Branch (CE Number AAL996) is regulated by the Hong Kong Monetary Authority and the Securities and Futures Commission, is organized under the laws of the United States with limited liability. Where the distribution of this material is a regulated activity in Hong Kong, the material is distributed in Hong Kong by or through J.P. Morgan Securities (Asia Pacific) Limited and/or J.P. Morgan Broking (Hong Kong) Limited.

India: J.P. Morgan India Private Limited (Corporate Identity Number - U67120MH1992FTC068724), having its registered office at J.P. Morgan Tower, Off. C.S.T. Road, Kalina, Santacruz - East, Mumbai - 400098, is registered with the Securities and Exchange Board of India (SEBI) as a 'Research Analyst' having registration number INH000001873. J.P. Morgan India Private Limited is also registered with SEBI as a member of the National Stock Exchange of India Limited and the Bombay Stock Exchange Limited (SEBI Registration Number - INZ000239730) and as a Merchant Banker (SEBI Registration Number - MB/INM000002970). Telephone: 91-22-6157 3000, Facsimile: 91-22-6157 3990 and Website: <http://www.jpmpil.com>. JPMorgan Chase Bank, N.A. - Mumbai Branch is licensed by the Reserve Bank of India (RBI) (Licence No. 53/ Licence No. BY.4/94; SEBI - IN/CUS/014/ CDSL : IN-DP-CDSL-444-2008/ IN-DP-NSDL-285-2008/ INBI00000984/ INE231311239) as a Scheduled Commercial Bank in India, which is its primary license allowing it to carry on Banking business in India and other activities, which a Bank branch in India are permitted to undertake. For non-local research material, this material is not distributed in India by J.P. Morgan India Private Limited. Compliance Officer: Ashutosh Sharma; ashutosh.j.sharma@jpmchase.com; +912261575002. Grievance Officer: Ramprasad K, jpmpil.research.feedback@jpmorgan.com; +912261573000. Registration granted by SEBI and certification from NISM in no way guarantee performance of the intermediary or provide any assurance of returns to investors. Please visit [Terms and Conditions and Most Important Terms and Conditions \(MITC\)](#). The annual Compliance audit report is available at <http://www.jpmpil.com/#research>.

Indonesia: PT J.P. Morgan Sekuritas Indonesia is a member of the Indonesia Stock Exchange and is registered and supervised by the Otoritas Jasa Keuangan (OJK).

Korea: J.P. Morgan Securities (Far East) Limited, Seoul Branch, is a member of the Korea Exchange (KRX). JPMorgan Chase Bank, N.A., Seoul Branch, is licensed as a branch office of foreign bank (JPMorgan Chase Bank, N.A.) in Korea. Both entities are regulated by the Financial Services Commission (FSC) and the Financial Supervisory Service (FSS). For non-macro research material, the material is distributed in Korea by or through J.P. Morgan Securities (Far East) Limited, Seoul Branch.

Japan: JPMorgan Securities Japan Co., Ltd. and JPMorgan Chase Bank, N.A., Tokyo Branch are regulated by the Financial Services Agency in Japan.

Malaysia: This material is issued and distributed in Malaysia by JPMorgan Securities (Malaysia) Sdn Bhd (18146-X), which is a Participating Organization of Bursa Malaysia Berhad and holds a Capital Markets Services License issued by the Securities Commission in Malaysia.

Mexico: J.P. Morgan Casa de Bolsa, S.A. de C.V., J.P. Morgan Grupo Financiero is member of the Mexican Stock Exchange ("Bolsa Mexicana de Valores") and the Institutional Stock Exchange ("Bolsa Institucional de Valores"), and it is authorized to act as a broker dealer by the National Banking and Securities Exchange Commission ("Comisión Nacional Bancaria y de Valores").

New Zealand: This material is issued and distributed by JPMSAL in New Zealand only to "wholesale clients" (as defined in the Financial Markets Conduct Act 2013). JPMSAL is registered as a Financial Service Provider under the Financial Service providers (Registration and Dispute Resolution) Act of 2008.

Philippines: J.P. Morgan Securities Philippines Inc. is a Trading Participant of the Philippine Stock Exchange and a member of the Securities Clearing Corporation of the Philippines and the Securities Investor Protection Fund. It is regulated by the Securities and Exchange Commission.

Singapore: This material is issued and distributed in Singapore by or through J.P. Morgan Securities Singapore Private Limited (JPMS) [MDDI (P) 070/08/2026 and Co. Reg. No.: 199405335R], which is a member of the Singapore Exchange Securities Trading Limited, and/or JPMorgan Chase Bank, N.A., Singapore branch (JPMCB Singapore), both of which are regulated by the Monetary Authority of Singapore. This material is issued and distributed in Singapore only to accredited investors, expert investors and institutional investors, as defined in Section 4A of the Securities and Futures Act, Cap. 289 (SFA). This material is not intended to be issued or distributed to any retail investors or any other investors that do not fall into the classes of "accredited investors," "expert investors" or "institutional investors," as defined under Section 4A of the SFA. Recipients of this material in Singapore are to contact JPMS or JPMCB Singapore in respect of any matters arising from, or in connection with, the material.

South Africa: J.P. Morgan Equities South Africa Proprietary Limited and JPMorgan Chase Bank, N.A., Johannesburg Branch are members of the Johannesburg Securities Exchange and are regulated by the Financial Services Conduct Authority (FSCA).

Taiwan: J.P. Morgan Securities (Taiwan) Limited is a participant of the Taiwan Stock Exchange (company-type) and regulated by the Taiwan Securities and Futures Bureau. Material relating to equity securities is issued and distributed in Taiwan by J.P. Morgan Securities (Taiwan) Limited, subject to the license scope and the applicable laws and the regulations in Taiwan. **To the extent that J.P. Morgan Securities (Taiwan) Limited produces research materials on securities not listed on the Taiwan Stock Exchange or Taipei Exchange ("Non-Taiwan Listed Securities"), these materials shall not constitute securities recommendations for the purpose of applicable Taiwan regulations, and, for the avoidance of doubt, J.P. Morgan Securities (Taiwan) Limited does not act as broker for Non-Taiwan Listed Securities.** According to Paragraph 2, Article 7-1 of Operational Regulations Governing Securities Firms Recommending Trades in Securities to Customers

(as amended or supplemented) and/or other applicable laws or regulations, please note that the recipient of this material is not permitted to engage in any activities in connection with the material that may give rise to conflicts of interests, unless otherwise disclosed in the "Important Disclosures" in this material.

Thailand: This material is issued and distributed in Thailand by JPMorgan Securities (Thailand) Ltd., which is a member of the Stock Exchange of Thailand and is regulated by the Ministry of Finance and the Securities and Exchange Commission. The registered address is 548 One City Center Building, 50th Floor, Ploenchit Road, Lumpini, Pathum Wan, Bangkok 10330.

UK: Research is produced in the UK by J.P. Morgan Securities plc ("JPMS plc") which is a member of the London Stock Exchange and is authorised by the Prudential Regulation Authority and regulated by the Financial Conduct Authority and the Prudential Regulation Authority or J.P. Morgan Markets Limited ("JPMML Ltd") which is authorised and regulated by the Financial Conduct Authority. Unless specified to the contrary, this material is distributed in the UK by JPMS plc and is directed in the UK only to: (a) persons having professional experience in matters relating to investments falling within article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) (Order) 2005 ("the FPO"); (b) persons outlined in article 49 of the FPO (high net worth companies, unincorporated associations or partnerships, the trustees of high value trusts, etc.); or (c) any persons to whom this communication may otherwise lawfully be made; all such persons being referred to as "UK relevant persons". This material must not be acted on or relied on by persons who are not UK relevant persons. Any investment or investment activity to which this material relates is only available to UK relevant persons and will be engaged in only with UK relevant persons. A description of J.P. Morgan EMEA's policy for prevention and avoidance of conflicts of interest related to the production of Research can be found at the following link: [J.P. Morgan EMEA - Research Independence Policy](#).

U.S.: J.P. Morgan Securities LLC ("JPMS") is a member of the NYSE, FINRA, SIPC, and the NFA. JPMorgan Chase Bank, N.A. is a member of the FDIC. Material published by non-U.S. affiliates is distributed in the U.S. by JPMS who accepts responsibility for its content.

General: Additional information is available upon request. The information in this material has been obtained from sources believed to be reliable. While all reasonable care has been taken to ensure that the facts stated in this material are accurate and that the forecasts, opinions and expectations contained herein are fair and reasonable, JPMorgan Chase & Co. or its affiliates and/or subsidiaries (collectively J.P. Morgan) make no representations or warranties whatsoever to the completeness or accuracy of the material provided, except with respect to any disclosures relative to J.P. Morgan and the Research Analyst's involvement with the issuer that is the subject of the material. Accordingly, no reliance should be placed on the accuracy, fairness or completeness of the information contained in this material. There may be certain discrepancies with data and/or limited content in this material as a result of calculations, adjustments, translations to different languages, and/or local regulatory restrictions, as applicable. These discrepancies should not impact the overall investment analysis, views and/or recommendations of the subject company(ies) that may be discussed in the material. Artificial intelligence tools may have been used in the preparation of this material, including assisting in data analysis, pattern recognition, and content drafting for research material. J.P. Morgan accepts no liability whatsoever for any loss arising from any use of this material or its contents, and neither J.P. Morgan nor any of its respective directors, officers or employees, shall be in any way responsible for the contents hereof, apart from the liabilities and responsibilities that may be imposed on them by the relevant regulatory authority in the jurisdiction in question, or the regulatory regime thereunder. Opinions, forecasts or projections contained in this material represent J.P. Morgan's current opinions or judgment as of the date of the material only and are therefore subject to change without notice. Periodic updates may be provided on companies/industries based on company-specific developments or announcements, market conditions or any other publicly available information. There can be no assurance that future results or events will be consistent with any such opinions, forecasts or projections, which represent only one possible outcome. Furthermore, such opinions, forecasts or projections are subject to certain risks, uncertainties and assumptions that have not been verified, and future actual results or events could differ materially. The value of, or income from, any investments referred to in this material may fluctuate and/or be affected by changes in exchange rates. All pricing is indicative as of the close of market for the securities discussed, unless otherwise stated. Past performance is not indicative of future results. Accordingly, investors may receive back less than originally invested. This material is not intended as an offer or solicitation for the purchase or sale of any financial instrument. The opinions and recommendations herein do not take into account individual client circumstances, objectives, or needs and are not intended as recommendations of particular securities, financial instruments or strategies to particular clients. This material may include views on structured securities, options, futures and other derivatives. These are complex instruments, may involve a high degree of risk and may be appropriate investments only for sophisticated investors who are capable of understanding and assuming the risks involved. The recipients of this material must make their own independent decisions regarding any securities or financial instruments mentioned herein and should seek advice from such independent financial, legal, tax or other adviser as they deem necessary. J.P. Morgan may trade as a principal on the basis of the Research Analysts' views and research, and it may also engage in transactions for its own account or for its clients' accounts in a manner inconsistent with the views taken in this material, and J.P. Morgan is under no obligation to ensure that such other communication is brought to the attention of any recipient of this material. Others within J.P. Morgan, including Strategists, Sales staff and other Research Analysts, may take views that are inconsistent with those taken in this material. Employees of J.P. Morgan not involved in the preparation of this material may have investments in the securities (or derivatives of such securities) mentioned in this material and may trade them in ways different from those discussed in this material. This material is not an advertisement for or marketing of any issuer, its products or services, or its securities in any jurisdiction.

Confidentiality and Security Notice: This transmission may contain information that is privileged, confidential, legally privileged, and/or exempt from disclosure under applicable law. If you are not the intended recipient, you are hereby notified that any disclosure, copying, distribution, or use of the information contained herein (including any reliance thereon) is STRICTLY PROHIBITED. Although this transmission and any attachments are believed to be free of any virus or other defect that might affect any computer system into which it is received and opened, it is the responsibility of the recipient to ensure that it is virus free and no responsibility is accepted by JPMorgan Chase & Co., its subsidiaries and affiliates, as applicable, for any loss or damage arising in any way from its use. If you received this transmission in

error, please immediately contact the sender and destroy the material in its entirety, whether in electronic or hard copy format. This message is subject to electronic monitoring: <https://www.jpmorgan.com/disclosures/email>

MSCI: Certain information herein (“Information”) is reproduced by permission of MSCI Inc., its affiliates and information providers (“MSCI”) ©2026. No reproduction or dissemination of the Information is permitted without an appropriate license. MSCI MAKES NO EXPRESS OR IMPLIED WARRANTIES (INCLUDING MERCHANTABILITY OR FITNESS) AS TO THE INFORMATION AND DISCLAIMS ALL LIABILITY TO THE EXTENT PERMITTED BY LAW. No Information constitutes investment advice, except for any applicable Information from MSCI ESG Research. Subject also to [msci.com/disclaimer](https://www.msci.com/disclaimer)

Any mentions of third-party trademarks, brand names, products, and services are for referential purposes only and any mention thereof is not meant to imply any sponsorship, endorsement, or affiliation.

Sustainalytics: Certain information, data, analyses and opinions contained herein are reproduced by permission of Sustainalytics and: (1) includes the proprietary information of Sustainalytics; (2) may not be copied or redistributed except as specifically authorized; (3) do not constitute investment advice nor an endorsement of any product or project; (4) are provided solely for informational purposes; and (5) are not warranted to be complete, accurate or timely. Sustainalytics is not responsible for any trading decisions, damages or other losses related to it or its use. The use of the data is subject to conditions available at <https://www.sustainalytics.com/legal-disclaimers>. ©2026 Sustainalytics. All Rights Reserved.

"Other Disclosures" last revised August 29, 2026.

Copyright 2026 JPMorgan Chase & Co. All rights reserved. This material or any portion hereof may not be reprinted, sold or redistributed without the written consent of J.P. Morgan. It is strictly prohibited to use or share without prior written consent from J.P. Morgan any research material received from J.P. Morgan or an authorized third-party (“J.P. Morgan Data”) in any third-party artificial intelligence (“AI”) systems or models when such J.P. Morgan Data is accessible by a third-party.

Completed 28 Sep 2026 07:00 PM JST

Disseminated 28 Sep 2026 07:04 PM JST